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China Insurance

1H26 Preview: Dividend surprise could reset the trade; Ping An-H top pick

YTD, only China Life-H has outperformed among Chinese insurers across A and H shares, despite strong 1Q26 results. We think the market is questioning earnings quality, with profit strength seen as largely investment-led rather than driven by core insurance earnings. Capital, however, remains robust. We forecast Jun-26E core solvency at 110%+ for major life insurers and 170%+ for major non-life insurers, well above the 50% minimum. A potential interim dividend surprise during the mid to late August results season could be the catalyst to reset the trade. We forecast an average 15% oya increase in interim FY26E DPS across the sector. China's H/A-listed insurers trade on 6x/7x FY27E P/E, with dividend yields of 5.1%/4.0%. Our top pick is Ping An-H, followed by China Life-H.

- **Earnings quality remains the key concern.** Positive profit alerts from China Life ([link](#)) and New China Life ([link](#)) in early July were not well received, highlighting the sector's high earnings sensitivity to China's equity market. Investors appear unconvinced that insurers will distribute unrealised YTD investment gains through interim dividends, rather than retain them as a buffer against potential 2H26 market volatility. We estimate that a 10% move in the SHCOMP index would imply an average 45% sensitivity to FY26E consensus net profit. This caution is also evident in the surprisingly slow pace of FY26E consensus earnings upgrades. For Ping An Group, we forecast 1H26 OPAT (core earnings) of Rmb84B, up 8% oya.
- **Interim dividend surprise could be the catalyst.** Except for Ping An, Chinese insurers introduced interim dividends only commencing from 1H24, and capital return policies remain underdeveloped. Consensus forecasts imply average FY26 DPS growth of 4% oya, which we view as conservative versus our 7% oya forecast. If insurers allocate part of their unrealised investment gains to 1H26 dividends, backed by adequate capital, this should improve market confidence. We forecast average 1H26 interim dividend growth of 15% oya, including a 20% oya, or Rmb0.286/share, interim dividend hike for China Life.
- **Fundamentals remain supportive.** Life sales momentum remains resilient despite slower 2Q26 activity vs. 1Q26, as life insurers shift towards less interest-rate-sensitive participating products. Improving agent productivity, stabilising agent headcount and steady bancassurance support should drive double-digit NBV growth over the next 12 months. We forecast average 17% oya growth for 1H26E NBV. In non-life, we forecast 94.7% (-0.1%p oya) 1H26E CoR for PICC P&C, supported by solid auto underwriting and no major claim loss.
- **Prefer Ping An-H and China Life-H.** H-listed insurers offer better risk-reward than A-shares, given wider yield support. Ping An-H/A offer the sector's highest dividend yields at 5.8%/5.3%, alongside 6x/6x FY26E P/E. China Life-H offers a 4.0% yield, but we see upside to FY26E DPS, with our estimate at 20% oya versus consensus at 7%, and potential for buybacks subject to regulatory approval. CPIC-H remains OW, supported by its first interim dividend proposal. Lastly, we stay cautious on PICC P&C mainly due to growing reinvestment risk amidst a very low deposit rate and short-term bond yield.

China

Insurance

MW Kim AC

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Dan Wang

(86-21) 6106-6349

dan.wang@jpmorgan.com

SAC Registration Number: S1730524080001

J.P. Morgan Securities (China) Company
Limited

Julia Kim

(852) 2800-8540

julia.c.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
Ping An Insurance Group - H	2318 HK	136,301	HKD	58.70	OW	n/c	95.00	Dec-27	90.00	Dec-26
Ping An Insurance Group - A	601318 CH	150,149	CNY	55.80	OW	n/c	88.00	Dec-27	83.00	Dec-26
China Life Insurance - H	2628 HK	104,161	HKD	28.90	OW	n/c	40.00	Dec-27	n/c	Dec-26
China Life Insurance - A	601628 CH	165,982	CNY	39.74	N	n/c	39.00	Dec-27	n/c	Dec-26
China Pacific Insurance Group - H	2601 HK	38,446	HKD	31.34	OW	n/c	43.00	Dec-27	n/c	Dec-26
China Pacific Insurance Group - A	601601 CH	46,628	CNY	32.80	OW	n/c	50.00	Dec-27	n/c	Dec-26
New China Life Insurance - H	1336 HK	19,308	HKD	48.54	N	n/c	46.00	Dec-27	45.00	Dec-26
New China Life Insurance - A	601336 CH	28,908	CNY	62.71	N	n/c	59.00	Dec-27	n/c	Dec-26
PICC Group - H	1339 HK	31,185	HKD	5.53	N	n/c	6.00	Dec-27	5.80	Dec-26
PICC Group - A	601319 CH	49,404	CNY	7.56	N	n/c	7.10	Dec-27	6.90	Dec-26
PICC Property and Casualty (2328)	2328 HK	47,647	HKD	16.80	N	n/c	15.00	Dec-27	14.00	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 30 Jul 26.

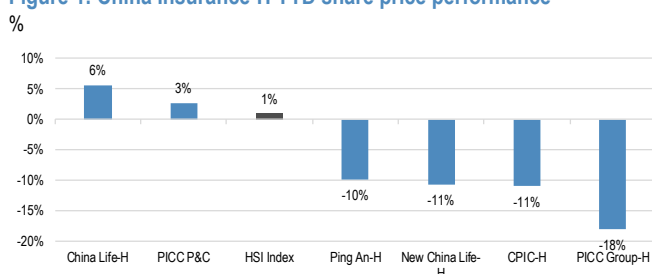
Table 1: China Insurance: Valuation comparison table

Local currency, %, x

Company	B'berg Code	Rating	Price (30-Jul-2026)	PT (Dec-27)	Upside/downside	P/E 26e	P/E 27e	P/BV 26e	P/BV 27e
China Life-H	2628 HK Equity	OW	28.9	40.0	41%	4.3	4.9	1.1	1.1
China Life-A	601628 CH Equity	N	39.74	39.0	-1%	6.6	7.5	1.8	1.7
Ping An-H	2318 HK Equity	OW	58.7	95.0	64%	6.0	5.6	0.9	0.8
Ping An-A	601318 CH Equity	OW	55.8	88.0	62%	6.4	5.9	0.9	0.8
CPIC-H	2601 HK Equity	OW	31.34	43.0	40%	4.9	5.1	0.8	0.7
CPIC-A	601601 CH Equity	OW	32.8	50.0	57%	5.6	5.9	0.9	0.8
New China Life-H	1336 HK Equity	N	48.54	46.0	-5%	3.6	4.4	1.1	1.0
New China Life-A	601336 CH Equity	N	62.71	59.0	-6%	5.2	6.4	1.6	1.5
PICC Group-H	1339 HK Equity	N	5.53	6.0	11%	4.7	5.3	0.5	0.5
PICC Group-A	601319 CH Equity	N	7.56	7.1	-4%	7.1	8.0	0.8	0.7
PICC P&C	2328 HK Equity	N	16.8	15.0	-10%	7.7	7.9	1.3	1.2

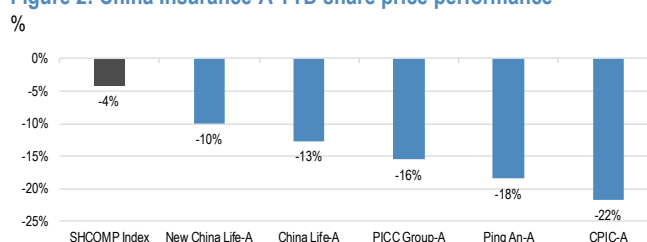
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 1: China Insurance-H YTD share price performance



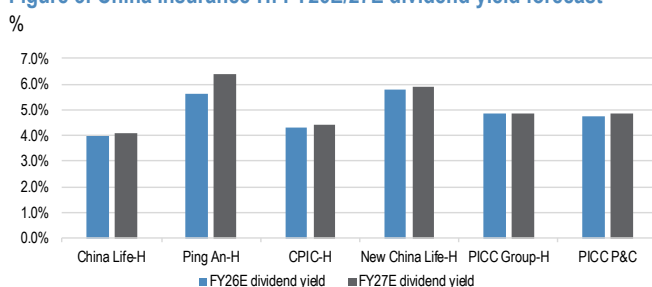
Source: Bloomberg Finance L.P. Price data as of 30 Jul 2026.

Figure 2: China Insurance-A YTD share price performance



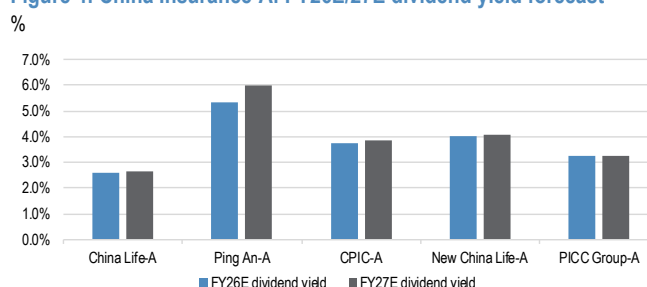
Source: Bloomberg Finance L.P. Price data as of 30 Jul 2026.

Figure 3: China Insurance-H: FY26E/27E dividend yield forecast



Source: Bloomberg Finance L.P., J.P. Morgan estimates. Price data as of 29 Jul 2026.

Figure 4: China Insurance-A: FY26E/27E dividend yield forecast



Source: Bloomberg Finance L.P., J.P. Morgan estimates. Price data as of 29 Jul 2026.

Investment thesis

Earnings skepticism priced-in, Dividend upside ahead

Moving into the 1H26 reporting season in mid to late August, we prefer life insurers over non-life insurers, and H shares over A shares. Our H-share pecking order is Ping An-H, China Life-H, CPIC-H, PICC Group-H, PICC P&C and New China Life-H. For A shares, valuations are less compelling, with average multiples at a 35% premium to H-listed peers (Table 2), while A-share insurers' FY26E dividend yields of 2.6%-5.3% also look less attractive. Our A-share preference is Ping An-A, CPIC-A, China Life-A, New China Life-A and PICC Group-A.

Despite trading at 5x/6x FY26E P/E with a 5%/4% dividend yield for H/A-listed insurers, China insurers have remained out of favour YTD, with China Life-H and PICC P&C the only two outperformers across A- and H-shares. We think the key debate is no longer whether earnings are recovering, but whether investment-led earnings strength can convert into visible capital return.

We believe that the August interim results season could be the turning point, with dividend guidance, capital deployment and core earnings recovery likely to matter more than headline profit growth. We roll forward our PT timeframe from Dec-26 to Dec-27 and raise our PTs by 5% on average, reflecting steady business recovery, stronger solvency capital and a better core earnings outlook which drives enhanced cash generation abilities. **Ping An-H remains our top OW, followed by China Life-H and Ping An-A.**

Table 2: China Insurance: time series A-H spread

Rmb per share, HKD per share, %

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
China Life											
A Share (CNY)	24.09	30.45	20.39	34.87	38.39	30.09	37.12	28.35	41.92	45.5	40.31
H Share (HKD)	20.2	24.55	16.64	21.65	17.1	12.92	13.4	10.12	14.68	27.38	28.44
Spread (A/H)	33%	49%	40%	80%	167%	186%	213%	208%	204%	85%	59%
PingAn Group											
A Share (CNY)	35.43	69.98	56.1	85.46	86.98	50.41	47	40.3	52.65	68.4	54.02
H Share (HKD)	38.8	81.35	69.15	92.1	95	56.15	51.65	35.35	46.05	65.15	56.9
Spread (A/H)	2%	3%	-8%	4%	9%	10%	3%	25%	22%	17%	8%
CPIC Group											
A Share (CNY)	27.77	41.42	28.43	37.84	38.4	27.12	24.52	23.78	34.08	41.91	31.95
H Share (HKD)	27.05	37.55	25.35	30.7	30.35	21.15	17.38	15.76	25.2	35.2	29.76
Spread (A/H)	15%	32%	28%	38%	50%	57%	60%	66%	44%	33%	21%
New China Life											
A Share (CNY)	43.78	70.2	42.24	49.15	57.97	38.88	30.08	31.13	49.7	69.7	63.12
H Share (HKD)	35.6	53.4	31.1	33.5	30.25	20.85	19.1	15.22	23.6	54.35	48.38
Spread (A/H)	37%	58%	55%	64%	128%	129%	78%	125%	124%	43%	51%

Source: Bloomberg Finance L.P. Note: 1) Spread = (A-H)/H*100% in HKD. 2) Price data is based on year-end closing price, except 2026 data based on 28 Jul 2026.

Time for capital return to do the talking

China's H-listed insurers trade 5x FY26E P/E on average with a 5.0% dividend yield, which we view as attractive given still undemanding valuations. Yet the sector has remained out of favour YTD across both H- and A-shares, with the only exceptions of China Life-H and PICC P&C. This is notable given strong 1Q26 results across most key financial metrics, confirming that fundamentals remain on track.

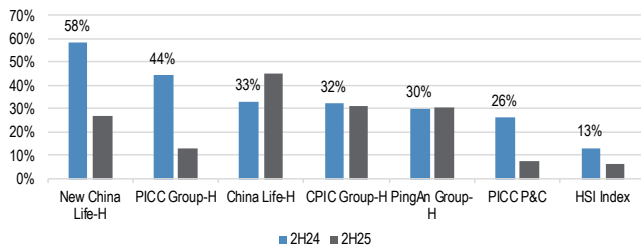
In our view, sector underperformance reflects the gap between reported earnings strength and investor confidence in dividend delivery. Much of the earnings upside appears investment-led, helped by equity market gains, while investors remain unconvinced that these gains will translate into higher shareholder returns amid rising macro and political uncertainty.

Against this backdrop, the mid- to late-August interim results season could be an important window for the sector. We believe management commentary on dividends, capital deployment and core earnings recovery could prompt investors to revisit the risk-reward, **similar to the sector rotations seen in 2H24 and 2H25** (Figure 5/Figure 6).

To frame the opportunity, we start with the positive profit alerts released by several major insurers in early July. In Table 3, we summarise the profit alert dates, companies' 1H26 earnings guidance versus FY26 consensus net profit, and share price reactions in the week after the alerts. As Table 3 shows, strong profit growth was not well perceived by the market, which we attribute mainly to concerns over earnings quality and equity market sensitivity.

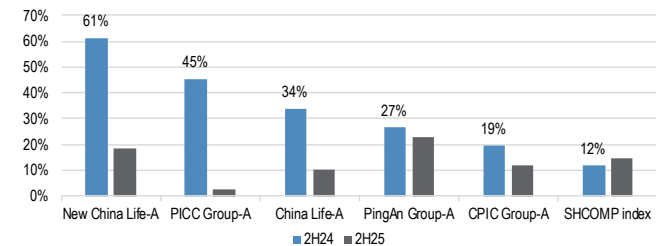
More importantly, despite strong profit alerts suggesting that China Life and New China Life could achieve almost all current full-year consensus profit in 1H26, the pace of FY26E earnings upgrades has been surprisingly slow for both names (Figure 7/Figure 8). Based on current FY26E net profit consensus of Rmb139B and Rmb31B for China Life and New China Life, respectively, the market appears to be now assuming limited earnings delivery in 2H26.

Figure 5: China H-listed insurers: stock performance in 2H24/2H25 %



Source: Bloomberg Finance L.P.

Figure 6: China A-listed insurers: stock performance in 2H24/2H25 %



Source: Bloomberg Finance L.P.

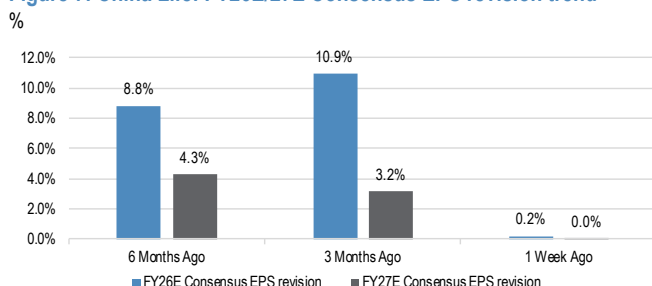
Table 3: China Insurance: 1H26 profit alert summary

Rmb in million, %

	1H24	1H25	1H26E (A)	Y/Y	FY26E Consensus (B)	Progress % (=A/B)	Date of profit alert	1 week share performance post alert
China Life	38,278	40,931	128,933-137,119	215%-235%	139,394	92%-98%	14-Jul-26	-4%
New China Life	11,083	14,799	20,719-23,678	40%-60%	31,022	67%-76%	13-Jul-26	9%

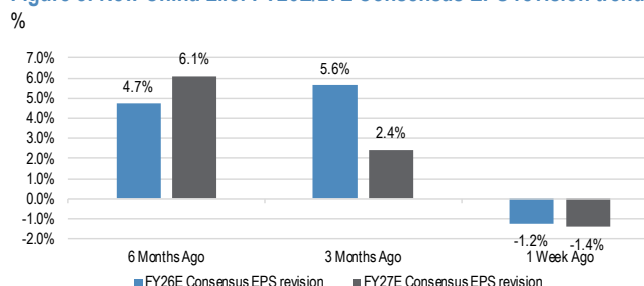
Source: Each company's 1H24-1H25 interim report, FY24-25 annual reports and HKEX filings, Bloomberg Finance L.P., J.P. Morgan calculations. Note: Consensus data as of 29 July 2026. 1H26E earnings data is based on company's profit alert.

Figure 7: China Life: FY26E/27E Consensus EPS revision trend



Source: Bloomberg Finance L.P. Data as of 29 July 2026.

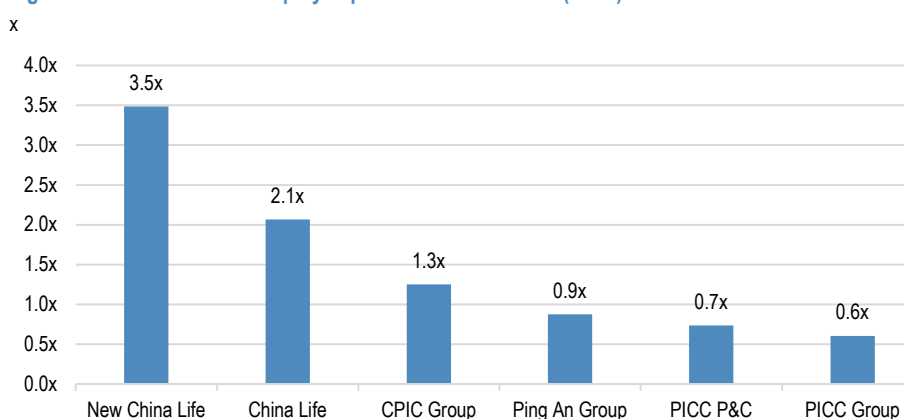
Figure 8: New China Life: FY26E/27E Consensus EPS revision trend



Source: Bloomberg Finance L.P. Data as of 29 July 2026.

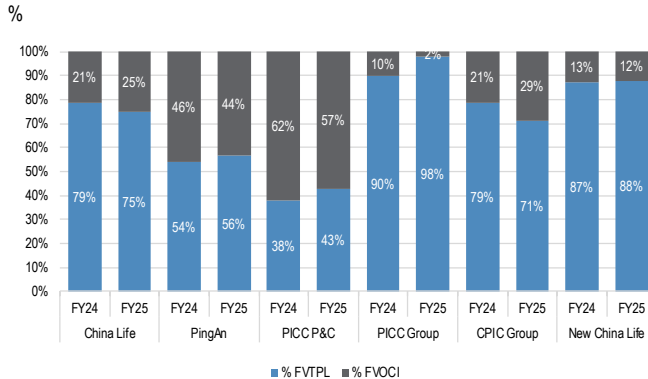
It is worth highlighting that, unlike insurers in many other markets, Chinese insurers carry relatively large equity exposure versus book value, ranging from 0.6x to 3.5x, with a sizeable portion recognised through fair value through P&L, or FVTPL, accounting (Figure 9/figure 10). This creates high sector net profit sensitivity to domestic equity market moves. Based on our estimates, a 10% move in the SHCOMP Index would imply 45% sensitivity on average to FY26E consensus net profit (Figure 11).

Figure 9: China Insurance: Equity exposure vs. book value (FY25)



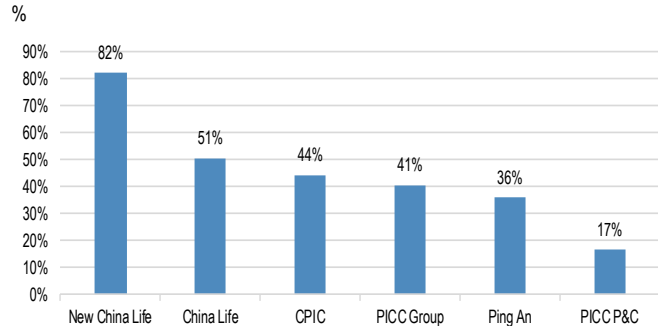
Source: Each company's FY25 annual reports. J.P. Morgan calculation.

Figure 10: China Insurance: Equity investment breakdown by accounting classification



Source: Each company's FY24-25 annual reports, J.P. Morgan calculations.

Figure 11: China Insurance: FY26E consensus NP sensitivity to 10% movement of SHCOMP Index



Source: Each company's FY25 annual report, Bloomberg Finance L.P., J.P. Morgan estimates.
Note: Consensus data is as of 29 Jul 2026.

As a result, investors appear unsure whether insurers will distribute part of their unrealised YTD investment gains through interim dividends, or retain these gains as a buffer against potential 2H26 equity market volatility. (For details on distributable earnings versus cash profit, please see [Asia Insurance: Summer Series: Life company analysis: dividends need cash, not just IFRS profit](#)). In our view, this uncertainty could create an attractive entry opportunity into the sector ahead of the interim reporting season.

Three reasons 1H26 could reset the sector debate

We highlight three key points into the 1H26 results season.

#1. Interim dividend surprise could be the key catalyst.

Except for Ping An, interim dividends among Chinese insurers were only introduced from 1H24, and capital management policies remain underdeveloped. China H/A-listed insurers currently offer FY26E dividend yields of 5.0%/4.0%, with H-shares looking particularly attractive. Consensus forecasts average FY26E DPS growth of only 4% oya, versus JPMe at 7% oya, which we view as conservative given improving solvency, balance sheet stabilisation and CSM recovery.

The interim DPS increase may be only a modest positive surprise, given Chinese insurers typically allocate a larger dividend proposal at the final stage rather than at interim, and we forecast an average 15% oya interim dividend hike in 2026. We view this as a strong starting point for the sector's dividend theme.

More importantly, we expect management commentary on capital returns to shareholders to improve the sector's risk-reward outlook, as the business recovery remains on track and solvency capital remains adequate.

If insurers signal confidence in a decent year-end DPS increase, supported by a more developed dividend policy based on core earnings rather than reported net profit, the current 5.0% yield for H-listed Chinese insurers could become a key driver for sector re-rating. We are increasingly optimistic on the outlook for sustainable shareholder returns among larger-cap insurers.

Lastly, we think the sector's adequate capital base, as shown in Table 5, provides solid fundamental support for more proactive capital return policies. We forecast 110%+ for major life insurers and 170%+ for major non-life insurers, well above the 50% minimum requirement as of Jun-26E.

Table 4: China Insurance: Interim DPS and payout trends

Rmb per share, %, %p

		2020	2021	2022	2023	2024	2025	2026E (JPMe)	Y/Y (JPMe)	2026E (Cons)	Y/Y (Cons)
China Life	Interim DPS	-	-	-	-	0.2	0.238	0.286	20%	0.26	9%
	P/O	0%	0%	0%	0%	15%	16%	6%		10%	
PingAn Group	Interim DPS	0.8	0.88	0.92	0.93	0.93	0.95	1.02	7%	0.99	4%
	P/O	21%	27%	23%	24%	22%	21%	22%		N.A.	
CPIC Group	Interim DPS	-	-	-	-	-	-	0.37	N.A.	N.A.	N.A.
	P/O	-	-	-	-	-	-	11%		N.A.	
New China Life	Interim DPS	-	-	-	-	0.54	0.67	0.77	15%	0.91	36%
	P/O	-	-	-	-	15%	14%	11%		20%	
PICC Group	Interim DPS	-	0.017	-	-	0.063	0.075	0.086	15%	0.09	20%
	P/O	-	4%	-	-	12%	13%	13%		18%	
PICC P&C	Interim DPS	-	-	-	-	0.208	0.24	0.28	17%	0.3	25%
	P/O	-	-	-	-	25%	22%	21%		29%	

Source: Each company's 1H19-1H25 interim report, J.P. Morgan estimates. Note: Consensus data as of 29 July 2026. For insurers excluding PingAn Group, we calculate the interim payout ratio based on interim dividend over interim EPS, whilst Ping An's payout ratio is calculated based on interim DPS over interim OPAT per share.

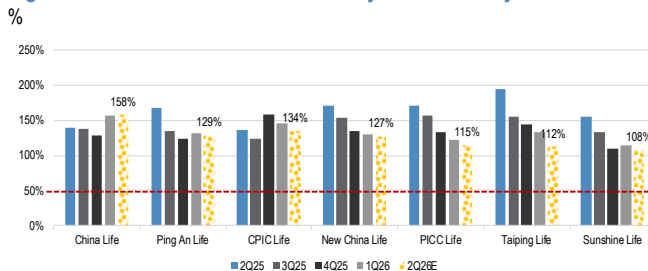
Table 5: China Insurance: Core solvency ratio trend under C-ROSS II

%, %p

	1Q25	2Q25	3Q25	4Q25	1Q26	Q/Q	Y/Y	2Q26E (JPMe)	2Q26E* (company estimates)
Life									
China Life	146%	140%	137%	129%	157%	28%p	11%p	160%	158%
Ping An Life	164%	167%	135%	123%	131%	8%p	-33%p	130%	129%
CPIC Life	140%	136%	124%	157%	146%	-11%p	6%p	150%	134%
New China Life	184%	171%	154%	135%	131%	-5%p	-53%p	125%	127%
PICC Life	171%	171%	156%	134%	122%	-12%p	-50%p	110%	115%
Non-Life									
PICC P&C	216%	213%	222%	213%	216%	2%p	-1%p	205%	198%
Ping An P&C	170%	180%	177%	173%	172%	-2%p	2%p	170%	171%
CPIC Property	195%	196%	199%	203%	197%	-6%p	2%p	195%	190%

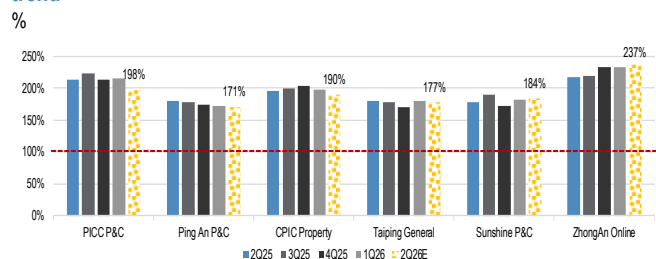
Source: Each company's quarterly solvency reports. J.P. Morgan estimates. Note: All data are on C-ROSS II basis. * Estimated 2Q26E solvency data are figures projected by the company (under a base-case scenario) and extracted from solvency ratio indicators sector in 4Q25/1Q26 solvency reports.

Figure 12: China life Insurers: Quarterly core solvency ratio trend



Source Each company's solvency reports. Note: 2Q26E is based on company projection.

Figure 13: China non-life Insurers: Quarterly core solvency ratio trend



Source Each company's solvency reports. Note: 2Q26E is based on company projection.

#2. Core earnings recovery strengthens the valuation case

We believe that core earnings disclosure makes the valuation argument more credible, particularly when combined with potential dividend upside.

Given sizeable equity holdings relative to balance sheets, together with accounting classification effects, we believe the sector's reported earnings remain highly sensitive to equity markets. To be fair, the underlying earnings base is also improving, but this appears less well recognised by investors.

Ping An is a useful reference point. The group discloses operating profit after tax, or OPAT, which excludes short-term equity market volatility, alongside reported net profit. We view OPAT as a key proxy for core earnings, largely supported by distributable profit. On this basis, Ping An-H trades at 6x FY26E P/OPAT and 5x FY27E P/OPAT, suggesting attractive fundamental value even before giving credit to unrealised investment gains.

Apart from Ping An and CPIC, most Chinese insurers do not yet disclose OPAT. While OPAT and reported net profit will differ, we expect the direction of travel in core earnings to remain positive across major insurers, supported by CSM balance recovery and improving new business economics. We therefore believe Ping An's OPAT-based valuation provides a useful read-across for the sector, particularly for major names such as China Life and CPIC.

This makes the valuation case more credible, especially when combined with potential dividend upside.

Table 6: China Insurance: Semiannual net profit trend and forecasts

Rmb in million, %

	1H23	2H23	1H24	2H24	1H25	2H25	1H26E (A)	Y/Y	FY26E Consensus (B)	Progress % (=A/B)
China Life	36,151	10,030	38,278	68,657	40,931	113,147	130,124	218%	139,394	93%
CPIC Group	18,332	8,925	25,132	19,828	27,885	25,620	33,672	21%	50,275	67%
OPAT	19,108	14,464	18,596	15,829	19,909	16,614	21,054	6%	N.A	N.A
New China Life	9,978	-1,266	11,083	15,146	14,799	21,485	22,396	51%	31,022	72%
PICC Group	20,588	1,734	23,400	18,751	26,671	19,536	28,394	6%	45,659	62%
PICC P&C	20,256	4,310	18,491	13,670	24,455	15,922	29,867	22%	40,678	73%
PingAn Group	69,841	15,824	74,619	51,988	68,047	66,731	85,528	26%	146,120	59%
OPAT	78,950	32,778	74,986	43,380	77,732	56,683	84,144	8%	N.A	N.A

Source: Each company's 1H23-1H25 interim report, FY23-25 annual report, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Consensus data as of 29 Jul 2026. N.A. means not available.

#3. Life sales momentum remains healthy despite 2Q26 moderation

The market appears concerned about a potential slowdown in bancassurance sales momentum in 2Q26. We are less concerned about q/q moderation, as 1Q is typically the seasonal peak and insurers usually manage sales growth more evenly through the rest of the year. We do not expect this to signal de-growth in 2Q26. For 1H26E, we forecast 17% oya NBV growth (Table 7), confirming that future profit from new life sales should continue to expand at a double-digit pace. We expect this momentum to continue through the rest of the year.

Table 7: China Insurance: NBV/FYP trend and forecast

Rmb in million, %, %p

	2024	2025	Y/Y Chg	1H24*	1H25	1H26E	Y/Y Chg
China Life							
New business value	33,709	45,752	36%	23,733	28,546	35,121	23%
First-year premiums	214,172	234,079	9%	160,266	161,255	195,119	21%
NBV/first-year premiums	16%	20%	4%p	15%	18%	18%	0.0%p
Ping An Life							
New business value	28,534	36,897	29%	15,979	22,335	25,500	14%
First-year premiums	154,026	157,923	3%	92,218	85,574	102,000	19%
NBV/first-year premiums	19%	23%	4%p	17%	26%	25%	-1.0%p
CPIC Life							
New business value	13,279	18,609	40%	7,213	9,544	11,310	19%
First-year premiums	80,026	94,080	18%	49,116	63,448	72,965	15%
NBV/first-year premiums	17%	20%	3%p	15%	15%	15.50%	0.5%p
New China Life							
New business value	6,253	9,842	57%	3,902	6,182	6,948	12%
First-year premiums	42,683	60,914	43%	20,749	41,506	44,826	8%
NBV/first-year premiums	15%	16%	1%p	19.00%	15.00%	16%	1.0%p

Source: Each company's 1H24-1H25 interim report, FY24-25 annual report, J.P. Morgan estimates. *: 1H24 is restated based on end-24 assumptions.

Life sales

Mix, productivity and agent growth in focus

For the interim results, we think three areas are worth monitoring. First, product mix, especially the shift in 2Q26 towards less interest-rate-sensitive participating products with minimum guaranteed rates of 1.25-1.75%. Second, agent productivity. Bancassurance volume growth is positive and NBV-accretive, but product mix improvement and margin recovery will depend heavily on agent productivity. Insurers' focus on incremental NBV creation per agent, supported by technology, should therefore be an important watch point. Third, agent headcount. We expect insurers to maintain a stable agent base and could guide for net positive agent growth over the next 12 months, supported by rising demand for more complex health insurance, critical illness cover, such as cancer and stroke, and early-care service solutions. Taken together, we forecast CSM balance growth of 4.0% oya in 2026E and 5.1% oya over the next 12 months, supporting double-digit core earnings growth (Table 8).

Table 8: China Insurance: CSM movement and forecast

Rmb in million, %

	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
China Life							
Opening CSM	805,433	783,473	769,137	742,488	768,369	810,948	860,805
<i>New Business CSM</i>	47,966	51,093	57,708	53,074	73,867	83,557	97,490
<i>CSM release</i>	-43,273	-65,689	-64,126	-68,475	(69,560)	(72,823)	(77,876)
Ending CSM	783,473	769,137	742,488	768,369	810,948	860,805	920,539
Y/Y		-1.80%	-3.50%	3.50%	5.5%	6.1%	6.9%
PingAn L&H							
Opening CSM	877,135	818,683	768,440	731,312	725,119	746,349	779,959
<i>New Business CSM</i>	35,122	38,951	35,405	36,688	61,085	75,928	89,498
<i>CSM release</i>	-80,590	-74,787	-71,140	-68,187	(69,333)	(72,455)	(76,554)
Ending CSM	818,683	768,440	731,312	725,119	746,349	779,959	824,082
Y/Y		-6.10%	-4.80%	-0.80%	2.9%	4.5%	5.7%
CPIC Life							
Opening CSM	343,434	327,662	325,726	345,366	356,842	369,830	385,842
<i>New Business CSM</i>	9,533	12,550	19,741	21,129	27,119	30,960	35,907
<i>CSM release</i>	-27,870	-26,202	-26,836	-27,244	(27,837)	(29,042)	(30,543)
Ending CSM	327,662	325,726	345,366	356,842	369,830	385,842	405,781
Y/Y		-0.60%	6.00%	3.30%	3.6%	4.3%	5.2%
PICC L&H							
Opening CSM	90,492	89,182	95,595	115,367	128,988	138,199	150,660
<i>New Business CSM</i>	10,015	17,071	26,174	30,357	26,754	31,702	34,872
<i>CSM release</i>	-11,390	-12,988	-16,140	-18,280	- 18,845	- 20,545	- 22,420
Ending CSM	89,182	95,595	115,367	128,988	138,199	150,660	164,415
Y/Y		7.20%	20.70%	11.80%	7.1%	9.0%	9.1%
New China Life							
Opening CSM	187,430	175,317	169,004	175,867	181,723	182,789	185,549
<i>New Business CSM</i>	6,412	6,167	10,997	11,875	13,601	15,497	17,399
<i>CSM release</i>	-20,862	-15,122	-15,667	-16,550	- 15,895	- 16,135	- 16,515
Ending CSM	175,317	169,004	175,867	181,723	182,789	185,549	189,927
Y/Y		-3.60%	4.10%	3.30%	0.6%	1.5%	2.4%

Source: Each insurer's annual report from 2022 to 2025. J.P. Morgan estimates.

Non-life

Resilient, but risk-reward looks less attractive

We do not see major near-term negatives for non-life insurers. We expect resilient underwriting performance among major players, including a 1H26E combined ratio of 94.7% for PICC P&C, improved by 0.1%p oya, and 95.7% (0.5%p oya deterioration) for Ping An P&C and 96.3% (flattish) for CPIC Property (Table 9). This should be supported by solid auto underwriting, improving non-auto margins and no material major-claim loss development in 1H26E.

That said, we are more cautious on the investment profit outlook for non-life insurers, given falling interest rates in China. Non-life insurers have shorter liability duration than life insurers, and their asset duration is typically shorter as well. With China's yield curve steepening and bank deposit rates falling sharply, new money yields on interest-bearing assets could become a risk. Based on our estimates, for every 1%p drop in investment yield, the net profit of PICC P&C could decline by 10%. At the same time, the sector is trading at a premium to its history, while we see limited scope for further underwriting margin improvement over the next 12 months. For example, PICC P&C is trading at 8x FY26E P/E, versus its historical average and trough level of 8x/4x. This is why we continue to prefer life insurers over non-life insurers into the interim results season.

Table 9: China Insurance: Combined ratio trend

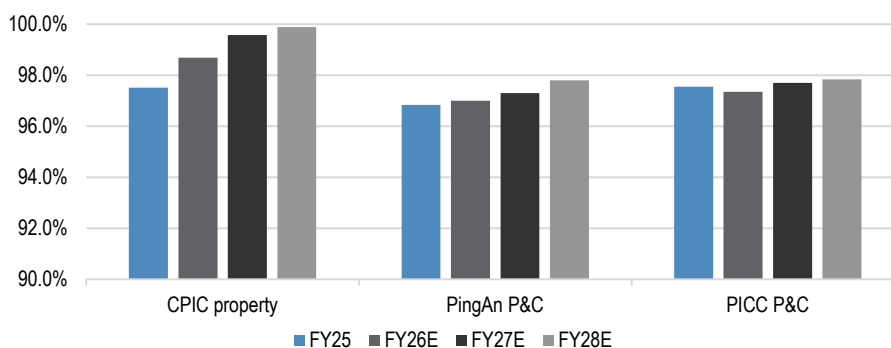
%, %p

	2021	2022	2023	2024	2025	Y/Y	1H23	1H24	1H25	1H26E (JPMe)	Y/Y
PICC P&C											
Loss ratio	73.7%	69.4%	70.6%	73.0%	73.9%	0.9%p	n.a.	n.a.	n.a.	n.a.	n.a.
Expense ratio	25.9%	27.2%	27.2%	25.8%	23.6%	-2.2%p	n.a.	n.a.	n.a.	n.a.	n.a.
Combined ratio	99.6%	96.6%	97.8%	98.8%	97.5%	-1.3%p	95.8%	96.2%	94.8%	94.7%	-0.1%p
CPIC Property											
Loss ratio	69.6%	68.0%	69.1%	70.8%	70.4%	-0.4%p	n.a.	n.a.	n.a.	n.a.	n.a.
Expense ratio	29.4%	28.8%	28.6%	27.8%	27.1%	-0.7%p	n.a.	n.a.	n.a.	n.a.	n.a.
Combined ratio	99.0%	96.9%	97.7%	98.6%	97.5%	-1.1%p	97.9%	97.1%	96.3%	96.3%	0.0%p
Ping An P&C											
Loss ratio	67.0%	71.3%	71.5%	71.0%	70.4%	-0.6%p	70.6%	70.6%	69.2%	n.a.	n.a.
Expense ratio	31.0%	28.3%	29.2%	27.3%	26.4%	-0.9%p	27.4%	27.2%	26.0%	n.a.	n.a.
Combined ratio	98.0%	99.6%	100.7%	98.3%	96.8%	-1.5%p	98.0%	97.8%	95.2%	95.7%	0.5%p

Source: Each company's FY20-24 annual report and 1H23-1H25 interim report.

Figure 14: China non-life insurers: combined ratio trend and forecast

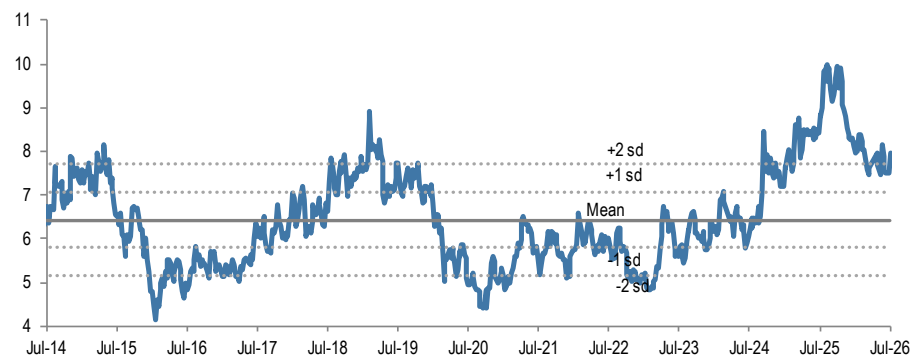
%



Source: Each insurer's 2025 annual report. J.P. Morgan estimates.

Figure 15: PICC P&C: P/E chart

x



Source: Bloomberg Finance L.P. J.P. Morgan estimates.

Positioning

Prefer Ping An-H/A and China Life-H

We prefer H-listed insurers over A-listed insurers, given more attractive dividend yields and risk-reward.

Ping An-H/A offer the sector's highest dividend yields at 5.8%/5.3%, alongside 6x/6x FY26E P/E. We view Ping An-H as the best large-cap expression of the dividend and core earnings recovery theme, given its OPAT disclosure, stronger capital return visibility and attractive valuation on both earnings and yield.

China Life-H offers a 4.0% dividend yield, but we see scope for a larger FY26E DPS increase, with JPMe at 20% oya versus consensus at 7%. We also see potential for share buybacks, subject to regulatory approval, over the next 12 months, supported by its strong capital base of 157% as of Mar-26 ([link](#)), reserve recovery outlook, and steady core earning delivery.

CPIC-H's consensus dividend yield appears lower at 4.8%, versus 5.4% for both PICC P&C and PICC Group-H. However, its first interim dividend proposal, lower reinvestment risk, stronger capital position and similarly robust life sales outlook to China Life and Ping An justify retaining our OW rating.

New China Life-H offers an attractive 6% consensus dividend yield, but we see risk to this yield, given its weaker insurance profit base and capital position versus peers.

PICC P&C and PICC Group-H both offer attractive yields versus peers. We would revisit opportunities in these names after checking two key points during the 1H results season.

First, for PICC P&C, we would look for resilience in the new money yield despite falling interest rates in China. If this holds, we think the stock's risk-reward would improve, given expectations for resilient underwriting profit.

Second, for PICC Group-H, our SOTP valuation implies PICC Life & Health is valued at around 3x FY26E P/E. PICC Life's capital position remains solid, while PICC Health's new business value is growing faster than peers. If life profit rises in line with major life insurers in 1H26, we think this could further improve risk-reward for PICC Group-H.

These could become potential investment opportunities after the 1H results reporting season.

Overweight

2318.HK, 2318 HK

Price (30 Jul 26): HK\$58.70

▲ **Price Target (Dec-27): HK\$95.00**
Prior (Dec-26): HK\$90.00

China

Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	2	7	3	8	10
Growth	62	71	78	78	78
Momentum	43	22	24	53	77
Quality	29	42	41	71	28
Low Vol	35	51	59	72	5
ESGQ	5	3	4	7	11

Sources for: Style Exposure – J.P. Morgan Global Markets
Strategy; all other tables are company data and J.P. Morgan estimates.

Ping An Insurance Group - H

Yield leadership with OPAT recovery; Top OW

Ping An-H remains our top pick, offering the sector's leading dividend yield of 5.8% alongside 6x FY26E P/E. We see it as the best large-cap expression of the dividend and core earnings recovery theme, supported by clear OPAT disclosure, stronger capital return visibility and attractive valuation on both earnings and yield.

Reflecting favourable 1H26 China A-share market performance, we lift our FY26E net profit forecast by 12% to Rmb157B. With new business recovery and potential margin enhancement, we remain confident in sustainable OPAT growth. Our FY26E OPAT estimate stands at Rmb149B, up 11% oya. Accordingly, we raise our FY26E DPS forecast by 3% to Rmb2.97, implying 10% oya growth.

Rolling forward our PT timeframe from Dec-26 to Dec-27, we marginally increase our PT from HK\$90 to HK\$95.

Table 10: Ping An Group: Revision table

Rmb in million, %, %p

	FY26E			FY27E			FY28E		
	New	Old	% chg	New	Old	% chg	New	Old	% chg
New business value	50,904	50,107	2%	63,273	64,228	-1%	74,582	80,085	-7%
First year premium	201,370	201,370	0%	249,507	249,507	0%	289,093	289,093	0%
New business margins	25%	25%	0.4%p	25.4%	25.7%	-0.4%p	25.8%	27.7%	-1.9%p
Embedded value	1,623,628	1,645,742	-1%	1,761,946	1,760,415	0%	1,914,105	1,893,325	1%
Contractual service margin (CSM)	746,349	744,811	0%	779,959	778,874	0%	824,082	828,388	-1%
New business CSM	61,085	60,128	2%	75,928	77,074	-1%	89,498	96,101	-7%
Net profit	184,722	167,297	10%	196,122	172,249	14%	209,622	182,975	15%
Net profit attributable to shareholders	157,625	140,780	12%	170,154	146,575	16%	181,791	155,386	17%
Operating profit after tax (OPAT)	149,398	149,028	0%	168,886	165,517	2%	193,681	183,548	6%
DPS	2.97	2.88	3%	3.36	3.20	5%	3.85	3.55	9%

Source: J.P. Morgan estimates.

Table 11: Ping An Group: Semiannual earnings table

Rmb in million, %

	1H25	1H26E	Y/Y	FY25	FY26E	Y/Y
Total revenue	546,469	628,446	15%	1,140,324	1,233,008	8%
Insurance revenue	277,820	323,888	17%	559,502	647,776	16%
Interest income	154,907	159,055	3%	305,502	318,110	4%
Investment income	52,435	86,575	65%	154,544	149,267	-3%
Total expenses	(454,514)	(511,657)	13%	(954,734)	(1,023,314)	7%
Insurance service expenses	(220,294)	(272,537)	24%	(453,268)	(545,074)	20%
Net insurance finance income/(expenses) from insurance contracts issued	(81,999)	(85,796)	5%	(179,978)	(171,592)	-5%
Profit before tax	91,955	116,789	27%	185,590	209,695	13%
Net profit	82,525	104,302	26%	158,301	184,722	17%
Attributable to equity shareholders	68,047	85,528	26%	134,778	157,625	17%
OPAT attributable to parent	77,732	84,144	8%	134,415	149,398	11%

Source: Ping An Group 1H25 interim report and FY25 annual report, J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	18,210
52-week range (HK\$)	74.70-50.00
Market cap (\$ mn)	136,301
Exchange rate	7.84
Free float (%)	86.5%
3M ADV (mn)	36.55
3M ADV (\$ mn)	267.9
Volatility (90 Day)	30
Index	HSI
BBG ANR (Buy Hold Sell)	21 1 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	128,717	134,921	144,075	156,453
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	20,553	21,045	22,135	21,591
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	36,320	53,728	56,111	59,116
Pre Tax Operational Income	185,590	209,695	222,321	237,160
Adj. net income	134,778	157,625	170,154	181,791
Comprehensive Profit	134,778	157,625	170,154	181,791
Adj. EPS	7.44	8.70	9.40	10.04
Comprehensive EPS	7.44	8.70	9.40	10.04
DPS	2.70	2.97	3.36	3.85
BVPS	55.25	60.34	68.01	75.93
Comprehensive BVPS	-	-	-	-
Margins and Growth				
Adj. EPS growth	7.1%	17.0%	7.9%	6.8%
Comprehensive EPS growth	7.1%	17.0%	7.9%	6.8%
DPS growth	5.9%	10.0%	13.0%	14.7%
Ratios				
Primary P&C combined ratio (%)	96.8%	97.0%	97.3%	97.8%
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	36,688	61,085	75,928	89,498
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	8.6%	8.5%	8.5%	8.5%
ROE	14.0%	15.1%	14.6%	13.9%
Comprehensive ROE	8.0%	8.8%	8.8%	8.6%
Debt leverage ratio	28.5%	27.2%	25.5%	23.8%
Valuation				
Dividend yield	5.3%	5.9%	6.6%	7.6%
P/BV	0.9	0.8	0.7	0.7
Comprehensive P/BV	-	-	-	-

Summary Investment Thesis and Valuation

China's declining bond yields could undermine the balance sheet, limiting both solvency capital and dividend capacity, and the stock has been significantly penalized due to these concerns (FY19 P/B: 2.2x vs. FY26E: 0.8x). However, we believe the company's enhanced solvency risk management skills, more reasonable actuarial assumptions and efforts to de-risk its investment portfolio related to non-standard assets should serve as key upside catalysts for the stock. More important, we believe the life insurance business is making a comeback, with a net increase in agent headcount expected in 2026 and beyond. Consequently, we anticipate a relatively smaller risk outlook for future earnings and dividends, at least for the next few years.

Our Dec-27 SOTP-based PT of HK\$95 is derived via an 10x FY27E P/E for the life business, a 7x FY27E P/E for the non-life business, a 5x FY27E P/E for the securities business, and a 0.4x FY27E BV for the banking business. We apply a P/E approach for the life, non-life and securities businesses and a P/BV approach for the banking business. We also factor in the listed fintech/healthtech subsidiaries' market values to arrive at our price target.

Performance Drivers

Market	16%
Region	2%
Macro	9%
Style	13%
Idiosyn.	60%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.50	0.46
Region: China	0.17	0.20
Macro:		
JP Morgan EMBI Global Spread	-0.24	-0.15
HSI Volatility Index	0.17	0.12
Generic 1st 'CO' Future	-0.32	-0.11
Quant Styles:		
Growth	-0.21	-0.34
DivYld	0.20	0.27
Value	0.06	0.21

Investment Thesis, Valuation and Risks

Ping An Insurance Group - H (Overweight; Price Target: HK\$95.00)

Investment Thesis

China's declining bond yields could undermine the balance sheet, limiting both solvency capital and dividend capacity, and the stock has been significantly penalized due to these concerns (FY19 P/B: 2.2x vs. FY26E: 0.8x). However, we believe the company's enhanced solvency risk management skills, more reasonable actuarial assumptions and efforts to de-risk its investment portfolio related to non-standard assets should serve as key upside catalysts for the stock. More important, we believe the life insurance business is making a comeback, with a net increase in agent headcount expected in 2026 and beyond. Consequently, we anticipate a relatively smaller risk outlook for future earnings and dividends, at least for the next few years.

Valuation

Our Dec-27 SOTP-based PT of HK\$95 is derived via an 10x FY27E P/E for the life business, a 7x FY27E P/E for the non-life business, a 5x FY27E P/E for the securities business, and a 0.4x FY27E BV for the banking business. We apply a P/E approach for the life, non-life and securities businesses and a P/BV approach for the banking business. We also factor in the listed fintech/healthtech subsidiaries' market values to arrive at our price target.

SOTP valuation

	HK\$	Methodology
Life operation	73.13	Based on an 10x P/E
Non-life operation	7.50	Based on a 7x P/E
Banking operation	7.87	Factors in Rmb11.7 per Ping An Bank share
Securities operation	1.62	Based on a 5x P/E
Holding company	3.07	60% discount to capital at holding company level
Listed fintech/healthtech subsidiaries	1.61	
Share price equivalent (Dec-27E)	94.79	Sum-of-the-parts
Dec-27 PT	95.00	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include: (1) concerns regarding asset quality within the banking and asset management operations; (2) a weaker-than-anticipated sales recovery, leading to poor growth in new business value (NBV) and contractual service margin (CSM); and (3) weaker-than-expected movement in solvency capital in the face of adverse macro volatility.

Upside catalysts include: (1) de-risking efforts on the balance sheet, reducing exposure to risky assets such as equity; (2) a faster-than-expected recovery in front-book growth; and (3) a better-than-expected underwriting cycle in the non-life segment.

Ping An Insurance Group - H: Summary of Financials

INCOME STATEMENT					BALANCE SHEET				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	1,623,532	1,493,346	1,568,013	1,646,414
Life operating profit	128,717	134,921	144,075	156,453	Investments	7,824,881	7,410,130	7,780,637	8,169,669
Life reinsurance operating profit	-	-	-	-	Investment property	128,259	153,726	161,413	169,483
P&C operating profit	20,553	21,045	22,135	21,591	Goodwill	-	-	-	-
P&C reinsurance operating profit	-	-	-	-	Other intangibles	91,800	138,910	145,855	153,148
Other pre-tax profit	36,320	53,728	56,111	59,116	Other assets	3,901,659	4,843,829	5,086,021	5,340,322
					Total Assets	13,898,471	14,593,395	15,323,064	16,089,217
Consolidated P&L					Insurance liabilities	5,360,910	5,240,735	5,894,687	6,205,923
Insurance revenue	559,502	647,776	641,331	686,833	o/w CSM	725,119	746,349	779,959	824,082
Insurance service result	106,234	102,702	110,072	114,246	o/w Risk adjustment	164,302	231,241	242,803	254,944
Insurance net financial result	(97,177)	(76,547)	(96,046)	(106,540)	o/w PVCF	4,155,280	4,363,044	4,581,196	4,810,256
Interest expense	-	-	-	-	Investment contract liabilities	-	-	-	-
Other income and expenses	181,337	188,432	213,279	234,533	Senior debt	853,661	857,929	862,219	866,530
Total pre-tax profit	185,590	209,695	222,321	237,160	Subordinated debt	-	-	-	-
Income taxes	(27,289)	(24,973)	(26,199)	(27,538)	Other liabilities	6,260,728	6,940,986	6,815,851	7,063,319
Minority interest	(23,523)	(27,096)	(25,968)	(27,831)	Total Liabilities	12,482,483	13,046,871	13,580,013	14,143,065
Net income	134,778	157,625	170,154	181,791	Shareholders' equity	1,000,419	1,092,645	1,231,495	1,374,989
Pre Tax Operational Income	185,590	209,695	222,321	237,160	Preferred equity / hybrid capital	-	-	-	-
Adjusted Net income	134,778	157,625	170,154	181,791	Minority Interests	415,569	453,879	511,557	571,164
Comprehensive profit	134,778	157,625	170,154	181,791	Total Liabilities and Shareholder Equity	13,898,471	14,593,395	15,323,064	16,089,217
Adj. EPS	7.44	8.70	9.40	10.04	Comprehensive equity	1,725,538	1,838,994	2,011,454	2,199,071
Comprehensive EPS	7.44	8.70	9.40	10.04	Net CSM	725,119	746,349	779,959	824,082
DPS	2.70	2.97	3.36	3.85					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	55.25	60.34	68.01	75.93
Adj. EPS y/y Growth	7.1%	17.0%	7.9%	6.8%	Comprehensive BVPS	-	-	-	-
Comprehensive EPS y/y growth	7.1%	17.0%	7.9%	6.8%	ROE	14.0%	15.1%	14.6%	13.9%
DPS y/y Growth	5.9%	10.0%	13.0%	14.7%	Comprehensive ROE	8.0%	8.8%	8.8%	8.6%
Adj. P/E (x)	6.8	5.8	5.4	5.0	P/BV	0.9	0.8	0.7	0.7
Comprehensive P/E (x)	6.8	5.8	5.4	5.0	Comprehensive P/BV	-	-	-	-
Dividend Yield	5.3%	5.9%	6.6%	7.6%	Debt leverage ratio	28.5%	27.2%	25.5%	23.8%
P&C combined ratio	96.8%	97.0%	97.3%	97.8%					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	36,688	61,085	75,928	89,498					
Life new business CSM margin	-	-	-	-					
CSM release ratio	8.6%	8.5%	8.5%	8.5%					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Overweight

601318.SS, 601318.CH

Price (30 Jul 26): Rmb55.80

▲ **Price Target (Dec-27): Rmb88.00**
Prior (Dec-26): Rmb83.00

China Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	3	9	7	9	10
Growth	61	71	77	82	66
Momentum	50	31	44	39	84
Quality	30	43	41	71	22
Low Vol	18	21	13	17	7
ESGQ	5	3	4	7	11

Sources for: Style Exposure – J.P. Morgan Global Markets
Strategy; all other tables are company data and J.P. Morgan
estimates.

Ping An Insurance Group - A

Yield leadership with improving core earnings visibility; Stay OW

Ping An-A offers the sector's leading dividend yield of 5.5%, alongside 6x FY26E P/E. We view it as the best large-cap expression of the dividend and core earnings recovery theme, supported by clear OPAT disclosure, stronger capital return visibility and attractive valuation on both earnings and yield.

Reflecting favourable 1H26 China A-share market performance, we lift our FY26E net profit forecast by 12% to Rmb157B. With new business recovery and potential margin enhancement, we remain confident in sustainable OPAT growth. Our FY26E OPAT estimate stands at Rmb149B, up 11% oya. Accordingly, we raise our FY26E DPS forecast by 3% to Rmb2.97, implying 10% oya growth.

Rolling forward our PT timeframe from Dec-26 to Dec-27, we marginally increase our PT from Rmb83 to Rmb88.

Price Performance



— 601318.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-18.4%	16.9%	-6.0%	-8.1%
Rel	-14.3%	24.0%	1.5%	-13.3%

Company Data

Shares O/S (mn)	18,210
52-week range (Rmb)	74.88-46.90
Market cap (\$ mn)	150,149
Exchange rate	6.77
Free float (%)	76.0%
3M ADV (mn)	96.72
3M ADV (\$ mn)	758.1
Volatility (90 Day)	31
Index	SHASHR
BBG ANR (Buy Hold Sell)	30 0 0

Key Metrics (FYE Dec)

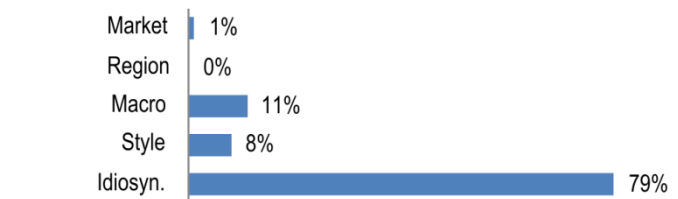
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	128,717	134,921	144,075	156,453
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	20,553	21,045	22,135	21,591
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	36,320	53,728	56,111	59,116
Pre Tax Operational Income	185,590	209,695	222,321	237,160
Adj. net income	134,778	157,625	170,154	181,791
Comprehensive Profit	134,778	157,625	170,154	181,791
Adj. EPS	7.44	8.70	9.40	10.04
Comprehensive EPS	7.44	8.70	9.40	10.04
DPS	2.70	2.97	3.36	3.85
BVPS	55.25	60.34	68.01	75.93
Comprehensive BVPS	-	-	-	-
Margins and Growth				
Adj. EPS growth	7.1%	17.0%	7.9%	6.8%
Comprehensive EPS growth	7.1%	17.0%	7.9%	6.8%
DPS growth	5.9%	10.0%	13.0%	14.7%
Ratios				
Primary P&C combined ratio (%)	96.8%	97.0%	97.3%	97.8%
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	36,688	61,085	75,928	89,498
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	8.6%	8.5%	8.5%	8.5%
ROE	14.0%	15.1%	14.6%	13.9%
Comprehensive ROE	8.0%	8.8%	8.8%	8.6%
Debt leverage ratio	28.5%	27.2%	25.5%	23.8%
Valuation				
Dividend yield	4.8%	5.3%	6.0%	6.9%
P/ BV	1.0	0.9	0.8	0.7
Comprehensive P/BV	-	-	-	-

Summary Investment Thesis and Valuation

China's declining bond yields could undermine the balance sheet, limiting both solvency capital and dividend capacity, and the stock has been significantly penalized due to these concerns (FY19 P/B: 2.2x vs. FY26E: 0.9x). However, we believe the company's enhanced solvency risk management skills, more reasonable actuarial assumptions and efforts to de-risk its investment portfolio related to non-standard assets should serve as key upside catalysts for the stock. More important, we believe the life insurance business is making a comeback, with a net increase in agent headcount expected in 2026 and beyond. Consequently, we anticipate a relatively smaller risk outlook for future earnings and dividends, at least for the next few years.

Our Dec-27 SOTP-based PT of Rmb88 is derived via an 10x FY27E P/E for the life business, a 7x FY27E P/E for the non-life business, a 5x FY27E P/E for the securities business, and a 0.4x FY27E BV for the banking business. We apply a P/E approach for the life, non-life and securities businesses and a P/BV approach for the banking business. We also factor in the listed fintech/healthtech subsidiaries' market values to arrive at our price target.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.23	0.17
Region: China	0.12	0.08
Macro:		
JP Morgan GBI-EM Global Div	0.24	0.22
JP Morgan EMBI Global Spread	-0.29	-0.19
Emerging Central Bank Rate	0.17	0.13
Quant Styles:		
Growth	-0.21	-0.29
DivYld	0.17	0.22
LowVol	0.15	0.21

Investment Thesis, Valuation and Risks

Ping An Insurance Group - A (Overweight; Price Target: Rmb88.00)

Investment Thesis

China's declining bond yields could undermine the balance sheet, limiting both solvency capital and dividend capacity, and the stock has been significantly penalized due to these concerns (FY19 P/B: 2.2x vs. FY26E: 0.9x). However, we believe the company's enhanced solvency risk management skills, more reasonable actuarial assumptions and efforts to de-risk its investment portfolio related to non-standard assets should serve as key upside catalysts for the stock. More important, we believe the life insurance business is making a comeback, with a net increase in agent headcount expected in 2026 and beyond. Consequently, we anticipate a relatively smaller risk outlook for future earnings and dividends, at least for the next few years.

Valuation

Our Dec-27 SOTP-based PT of Rmb88 is derived via an 10x FY27E P/E for the life business, a 7x FY27E P/E for the non-life business, a 5x FY27E P/E for the securities business, and a 0.4x FY27E BV for the banking business. We apply a P/E approach for the life, non-life and securities businesses and a P/BV approach for the banking business. We also factor in the listed fintech/healthtech subsidiaries' market values to arrive at our price target.

SOTP valuation

	Rmb	Methodology
Life operation	67.57	Based on an 10x P/E
Non-life operation	6.93	Based on a 7x P/E
Banking operation	7.27	Factors Rmb11.7 per Ping An Bank share
Securities operation	1.50	Based on a 5x P/E
Holding company	2.83	60% discount to capital at holding company level
Listed fintech/healthtech subsidiaries	1.49	
Share price equivalent (Dec-27E)	87.58	Sum-of-the-parts
Dec-27 PT	88.00	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include: (1) concerns regarding asset quality within the banking and asset management operations; (2) a weaker-than-anticipated sales recovery, leading to poor growth in new business value (NBV) and contractual service margin (CSM); and (3) weaker-than-expected movement in solvency capital in the face of adverse macro volatility.

Upside catalysts include: (1) de-risking efforts on the balance sheet, reducing exposure to risky assets such as equity; (2) a faster-than-expected recovery in front-book growth; and (3) a better-than-expected underwriting cycle in the non-life segment.

Ping An Insurance Group - A: Summary of Financials

INCOME STATEMENT					BALANCE SHEET				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	1,623,532	1,493,346	1,568,013	1,646,414
Life operating profit	128,717	134,921	144,075	156,453	Investments	7,824,881	7,410,130	7,780,637	8,169,669
Life reinsurance operating profit	-	-	-	-	Investment property	128,259	153,726	161,413	169,483
P&C operating profit	20,553	21,045	22,135	21,591	Goodwill	0	0	0	0
P&C reinsurance operating profit	-	-	-	-	Other intangibles	91,800	138,910	145,855	153,148
Other pre-tax profit	36,320	53,728	56,111	59,116	Other assets	3,901,659	4,843,829	5,086,021	5,340,322
					Total Assets	13,898,471	14,593,395	15,323,064	16,089,217
Consolidated P&L					Insurance liabilities	5,360,910	5,240,735	5,894,687	6,205,923
Insurance revenue	559,502	647,776	641,331	686,833	o/w CSM	725,119	746,349	779,959	824,082
Insurance service result	106,234	102,702	110,072	114,246	o/w Risk adjustment	164,302	231,241	242,803	254,944
Insurance net financial result	(97,177)	(76,547)	(96,046)	(106,540)	o/w PVCF	4,155,280	4,363,044	4,581,196	4,810,256
Interest expense	0	0	0	0	Investment contract liabilities	0	0	0	0
Other income and expenses	181,337	188,432	213,279	234,533	Senior debt	853,661	857,929	862,219	866,530
Total pre-tax profit	185,590	209,695	222,321	237,160	Subordinated debt	0	0	0	0
Income taxes	(27,289)	(24,973)	(26,199)	(27,538)	Other liabilities	6,260,728	6,940,986	6,815,851	7,063,319
Minority interest	(23,523)	(27,096)	(25,968)	(27,831)	Total Liabilities	12,482,483	13,046,871	13,580,013	14,143,065
Net income	134,778	157,625	170,154	181,791	Shareholders' equity	1,000,419	1,092,645	1,231,495	1,374,989
Pre Tax Operational Income	185,590	209,695	222,321	237,160	Preferred equity / hybrid capital	0	0	0	0
Adjusted Net income	134,778	157,625	170,154	181,791	Minority Interests	415,569	453,879	511,557	571,164
Comprehensive profit	134,778	157,625	170,154	181,791	Total Liabilities and Shareholder Equity	13,898,471	14,593,395	15,323,064	16,089,217
Adj. EPS	7.44	8.70	9.40	10.04	Comprehensive equity	1,725,538	1,838,994	2,011,454	2,199,071
Comprehensive EPS	7.44	8.70	9.40	10.04	Net CSM	725,119	746,349	779,959	824,082
DPS	2.70	2.97	3.36	3.85					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	55.25	60.34	68.01	75.93
Adj. EPS y/y Growth	7.1%	17.0%	7.9%	6.8%	Comprehensive BVPS	-	-	-	-
Comprehensive EPS y/y growth	7.1%	17.0%	7.9%	6.8%	ROE	14.0%	15.1%	14.6%	13.9%
DPS y/y Growth	5.9%	10.0%	13.0%	14.7%	Comprehensive ROE	8.0%	8.8%	8.8%	8.6%
Adj. P/E (x)	7.5	6.4	5.9	5.6	P/BV	1.0	0.9	0.8	0.7
Comprehensive P/E (x)	7.5	6.4	5.9	5.6	Comprehensive P/BV	-	-	-	-
Dividend Yield	4.8%	5.3%	6.0%	6.9%	Debt leverage ratio	28.5%	27.2%	25.5%	23.8%
P&C combined ratio	96.8%	97.0%	97.3%	97.8%					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	36,688	61,085	75,928	89,498					
Life new business CSM margin	-	-	-	-					
CSM release ratio	8.6%	8.5%	8.5%	8.5%					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Overweight

2628.HK, 2628 HK

Price (30 Jul 26): HK\$28.90

Price Target (Dec-27): HK\$40.00

China

Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	14	21	19	29	9
Growth	84	70	90	84	63
Momentum	33	2	6	64	78
Quality	24	47	44	74	58
Low Vol	61	70	69	31	21
ESGQ	11	6	6	9	7

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

China Life Insurance - H

Yield upside still underappreciated

China Life-H has been trading on a mix of growth, yield, earnings revisions and macro factors, including bond yields and equity market moves. Sentiment has softened since the exceptional profit alert in early July, as investors appear skeptical about an interim DPS increase driven mainly by investment-led earnings growth.

However, China Life-H offers a 4.0% FY26E dividend yield, and we see room for a larger FY26E DPS increase. Current consensus, at 7% oya DPS growth, looks overly conservative versus JPMe at 20% oya. We also see potential for share buybacks, subject to regulatory approval, over the next 12 months, supported by its strong capital base of 157% as of Mar-26, reserve recovery outlook and steady core earnings delivery.

We forecast net profit of Rmb171B, Rmb149B and Rmb160B for FY26E, FY27E and FY28E, implying 11%, -13% and 7% oya growth, respectively. We roll forward our PT timeframe from Dec-26 to Dec-27 and keep our PT unchanged at HK\$40.

Table 12: China Life: Revision table

Rmb in million, %

	New	2026e Old	Chg.	New	2027e Old	Chg.	New	2028e Old	Chg.
Insurance revenue	280,387	280,387	0%	294,199	294,228	0%	308,443	308,465	0%
Interest income	134,700	134,700	0%	141,435	141,435	0%	148,507	148,507	0%
Investment income	295,425	171,035	73%	191,832	195,913	-2%	204,852	205,709	0%
Insurance service expenses	(182,252)	(182,252)	0%	(191,229)	(191,248)	0%	(200,488)	(200,502)	0%
Allocation of reinsurance premiums paid	(9,030)	(9,030)	0%	(9,475)	(9,476)	0%	(9,934)	(9,934)	0%
Less: Amounts recovered from reinsurers	8,242	8,242	0%	8,648	8,648	0%	9,066	9,067	0%
Insurance finance income/(expenses) from insurance contracts issued	(294,407)	(221,506)	33%	(232,417)	(232,440)	0%	(243,670)	(243,687)	0%
Less: Reinsurance finance income/(expenses) from reinsurance contracts held	745	560	33%	588	588	0%	617	617	0%
Profit before income tax	228,916	177,243	29%	199,310	203,379	-2%	213,778	214,625	0%
Less: Income tax expenses	(54,940)	(42,538)	29%	(47,834)	(48,811)	-2%	(51,307)	(51,510)	0%
Net profit	173,977	134,705	29%	151,476	154,568	-2%	162,471	163,115	0%
Attributable to equity shareholders	171,227	132,576	29%	149,082	152,125	-2%	159,903	160,537	0%
Attributable to non-controlling interest	2,749	2,129	29%	2,394	2,443	-2%	2,568	2,578	0%

Source: J.P. Morgan estimates.

Table 13: China Life: Semiannual earnings table

Rmb in million, %

	1H25	1H26E	Y/Y	FY25	FY26E	Y/Y
Operating income	239,488	410,460	71%	616,065	729,338	18%
Insurance revenue	106,874	140,194	31%	214,136	280,387	31%
Interest income	62,687	67,350	7%	128,286	134,700	5%
Investment income	58,000	193,503	234%	255,411	295,425	16%
Operating expenses	(197,117)	(250,211)	27%	(434,436)	(500,422)	15%
Insurance service expenses	(88,202)	(91,126)	3%	(148,736)	(182,252)	23%
Insurance finance income/(expenses) from insurance contracts issued	(97,978)	(147,203)	50%	(258,858)	(294,407)	14%
Profit before tax	42,371	160,249	278%	181,629	228,916	26%
Net profit	41,956	132,779	216%	156,552	173,977	11%
Attributable to equity shareholders	40,931	130,124	218%	154,078	171,227	11%

Source: China Life 1H25 interim report and FY25 annual report, J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	28,265
52-week range (HK\$)	36.16-20.90
Market cap (\$ mn)	104,161
Exchange rate	7.84
Free float (%)	100.0%
3M ADV (mn)	55.04
3M ADV (\$ mn)	201.6
Volatility (90 Day)	47
Index	HSI
BBG ANR (Buy Hold Sell)	18 1 0

Key Metrics (FYE Dec)

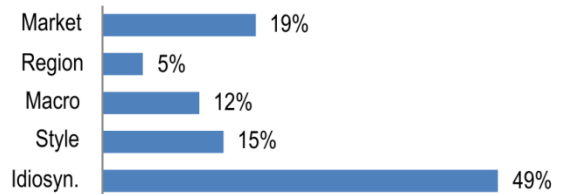
in	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	-	-	-	-
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	-	-	-	-
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	181,629	228,916	199,310	213,778
Pre Tax Operational Income	181,629	228,916	199,310	213,778
Adj. net income	154,078	171,227	149,082	159,903
Comprehensive Profit	154,078	171,227	149,082	159,903
Adj. EPS	5.45	6.06	5.27	5.66
Comprehensive EPS	5.45	6.06	5.27	5.66
DPS	0.86	1.03	1.05	1.13
BVPS	21.52	22.60	23.73	24.92
Comprehensive BVPS	-	-	-	-
Margins and Growth				
Adj. EPS growth	44.1%	11.1%	(12.9%)	7.3%
Comprehensive EPS growth	44.1%	11.1%	(12.9%)	7.3%
DPS growth	31.7%	20.3%	2.4%	7.3%
Ratios				
Primary P&C combined ratio (%)	-	-	-	-
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	-	-	-	-
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	-	-	-	-
ROE	27.9%	28.1%	23.3%	23.8%
Comprehensive ROE	27.9%	28.1%	23.3%	23.8%
Debt leverage ratio	-	-	-	-
Valuation				
Dividend yield	3.4%	4.1%	4.2%	4.5%
P/ BV	1.2	1.1	1.1	1.0
Comprehensive P/BV	-	-	-	-

Summary Investment Thesis and Valuation

We believe the Chinese government's reform agenda for the sector will increasingly provide more benefit to government-owned top insurers (i.e., China Life), as they are the largest players in the market and are in the process of reducing business inefficiencies. Nevertheless, recovery in the agent business and an improving liability reserve structure should remain the key long-term fundamental drivers. We view the ongoing shift towards participating policies as favourable, especially amid falling bond yields. A resilient A-share market, better-than-expected new life sales, and a robust capital position are near-term catalysts to mitigate the dividend risk. We are OW on China Life-H.

We use a P/E valuation methodology for the company. We assign a 7x FY27E P/E (historical average/minimum of 16x/4x) to arrive at our Dec-27 PT of HK\$40.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: China	0.65	0.51
Macro:		
JP Morgan EMBI Global Spread	-0.43	-0.18
JPM Forecast Revision EM	0.16	0.17
Generic 1st 'CO' Future	-0.43	-0.13
Quant Styles:		
Growth	-0.31	-0.38
DivYld	0.21	0.25
Momentum	-0.17	-0.18

Investment Thesis, Valuation and Risks

China Life Insurance - H (Overweight; Price Target: HK\$40.00)

Investment Thesis

We believe the Chinese government's reform agenda for the sector will increasingly provide more benefit to government-owned top insurers (i.e., China Life), as they are the largest players in the market and are in the process of reducing business inefficiencies. Nevertheless, recovery in the agent business and an improving liability reserve structure should remain the key long-term fundamental drivers. We view the ongoing shift towards participating policies as favourable, especially amid falling bond yields. A resilient A-share market, better-than-expected new life sales, and a robust capital position are near-term catalysts to mitigate the dividend risk. We are OW on China Life-H.

Valuation

We use a P/E valuation methodology for the company. We assign a 7x FY27E P/E (historical average/minimum of 16x/4x) to arrive at our Dec-27 PT of HK\$40.

Valuation summary (HK\$)

	2026E	2027E	2028E
EPS	6.77	5.89	6.32
Target P/E		7x	
Historical average/min P/E		16x/4x	
Value per share (Dec-27E)		40.1	
Time factor		1.00	
Dec-27 PT		40.0	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include: 1) A-share market volatility putting downward pressure on earnings and consequently dividends; 2) slower-than-expected business development in the agency distribution channel; and 3) weaker-than-expected new life business sales underpinned by private pension scheme expansion and government initiatives for health coverage for the pre-existing group.

China Life Insurance - H: Summary of Financials

INCOME STATEMENT					BALANCE SHEET				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	-	-	-	-
Life operating profit	-	-	-	-	Investments	7,423,705	7,774,335	8,163,051	8,571,204
Life reinsurance operating profit	-	-	-	-	Investment property	-	-	-	-
P&C operating profit	-	-	-	-	Goodwill	-	-	-	-
P&C reinsurance operating profit	-	-	-	-	Other intangibles	-	-	-	-
Other pre-tax profit	181,629	228,916	199,310	213,778	Other assets	167,299	196,219	206,030	216,332
					Total Assets	7,591,004	7,970,554	8,369,082	8,787,536
Consolidated P&L					Insurance liabilities	6,376,114	6,694,920	7,029,666	7,381,149
Insurance revenue	214,136	280,387	294,199	308,443	o/w CSM	768,369	810,948	860,805	920,539
Insurance service result	65,400	98,136	102,970	107,955	o/w Risk adjustment	-	-	-	-
Insurance net financial result	-	-	-	-	o/w PVCF	-	-	-	-
Interest expense	-	-	-	-	Investment contract liabilities	-	-	-	-
Other income and expenses	116,229	130,781	96,341	105,823	Senior debt	-	-	-	-
Total pre-tax profit	181,629	228,916	199,310	213,778	Subordinated debt	-	-	-	-
Income taxes	(25,077)	(54,940)	(47,834)	(51,307)	Other liabilities	606,185	636,494	668,319	701,735
Minority interest	(2,474)	(2,749)	(2,394)	(2,568)	Total Liabilities	6,982,611	7,331,742	7,698,329	8,083,245
Net income	154,078	171,227	149,082	159,903	Shareholders' equity	595,205	624,965	656,214	689,024
Pre Tax Operational Income	181,629	228,916	199,310	213,778	Preferred equity / hybrid capital	-	-	-	-
Adjusted Net income	154,078	171,227	149,082	159,903	Minority Interests	13,188	13,847	14,540	15,267
Comprehensive profit	154,078	171,227	149,082	159,903	Total Liabilities and Shareholder Equity	7,591,004	7,970,554	8,369,082	8,787,536
Adj. EPS	5.45	6.06	5.27	5.66	Comprehensive equity	595,205	624,965	656,214	689,024
Comprehensive EPS	5.45	6.06	5.27	5.66	Net CSM	-	-	-	-
DPS	0.86	1.03	1.05	1.13					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	21.52	22.60	23.73	24.92
Adj. EPS y/y Growth	44.1%	11.1%	(12.9%)	7.3%	Comprehensive BVPS	-	-	-	-
Comprehensive EPS y/y growth	44.1%	11.1%	(12.9%)	7.3%	ROE	27.9%	28.1%	23.3%	23.8%
DPS y/y Growth	31.7%	20.3%	2.4%	7.3%	Comprehensive ROE	27.9%	28.1%	23.3%	23.8%
Adj. P/E (x)	4.6	4.1	4.7	4.4	P/BV	1.2	1.1	1.1	1.0
Comprehensive P/E (x)	4.6	4.1	4.7	4.4	Comprehensive P/BV	-	-	-	-
Dividend Yield	3.4%	4.1%	4.2%	4.5%	Debt leverage ratio	-	-	-	-
P&C combined ratio	-	-	-	-					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	-	-	-	-					
Life new business CSM margin	-	-	-	-					
CSM release ratio	-	-	-	-					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Neutral

601628.SS,601628.CH

Price (30 Jul 26): Rmb39.74

Price Target (Dec-27): Rmb39.00

China Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
New business value - 26E (Rmb mn)	54,009	56,821	5.2%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	35	57	70	79	48
Growth	78	61	91	89	52
Momentum	26	8	62	47	77
Quality	30	48	45	78	44
Low Vol	28	33	30	30	49
ESGQ	11	6	6	9	7

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

China Life Insurance - A

Steady fundamental upside, but incorporating A-H spread

China Life-A has been trading on a combination of growth, yield, earnings revisions and macro factors, including bond yields and equity market moves. Market sentiment has softened since the exceptional profit alert in early July, suggesting investors remain skeptical about an interim DPS increase driven mainly by investment-led earnings growth.

However, China Life-A offers a 2.6% FY26E dividend yield, and we see scope for a larger FY26E DPS increase. Current consensus of 7% oya DPS growth looks overly conservative versus JPMe at 20% oya. We also see potential for share buybacks, subject to regulatory approval, over the next 12 months, supported by its strong capital base of 157% as of Mar-26, reserve recovery outlook and steady core earnings delivery.

We forecast net profit of Rmb171B, Rmb149B and Rmb160B for FY26E, FY27E and FY28E, implying 11%, -13% and 7% oya growth, respectively. We roll forward our PT timeframe from Dec-26 to Dec-27 and keep our PT unchanged at Rmb39.

Reflecting narrowing A-H premium dynamics, we lower our assigned A-H premium from 120% to 110%, leaving our Dec-27 PT unchanged at Rmb39, maintaining N.

For IFRS 17/9-based financials, please refer to the H-share numbers.

Price Performance



— 601628.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-12.7%	12.4%	8.4%	-5.9%
Rel	-8.6%	19.5%	15.9%	-11.2%

Company Data

Shares O/S (mn)	28,265
52-week range (Rmb)	51.92-32.32
Market cap (\$ mn)	165,982
Exchange rate	6.77
Free float (%)	3.2%
3M ADV (mn)	43.61
3M ADV (\$ mn)	236.4
Volatility (90 Day)	39
Index	SHASHR
BBG ANR (Buy Hold Sell)	21 6 1

Key Metrics (FYE Dec)

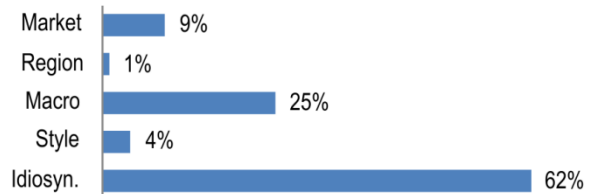
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating income	(61,964)	(60,607)	(63,196)	(69,686)
Adj. PBT	59,463	70,160	78,938	86,096
Adj. net income	48,529	57,320	64,433	70,119
Adj. EPS	1.72	2.03	2.28	2.48
BBG EPS	5.75	4.99	5.08	5.48
DPS	0.86	1.03	1.05	1.13
Total Assets	7,188,965	7,905,247	8,703,099	9,560,407
New business sales (APE)	127,992	147,358	167,946	192,175
New business value	45,752	56,821	64,275	74,993
Embedded value	-	-	-	-
EVPS	-	-	-	-
BVPS	21.74	22.73	23.96	24.01
Margins and Growth				
Adj. EPS growth	16.0%	18.1%	12.4%	8.8%
New business value (growth)	35.7%	24.2%	13.1%	16.7%
Ratios				
Adj. tax rate	15.0%	15.0%	15.0%	15.0%
Dividend payout	49.9%	50.8%	46.3%	45.6%
Regulatory solvency ratio	128.8%	122.6%	111.5%	101.4%
ROEV	-	-	-	-
ROE	8.1%	9.1%	9.8%	10.3%
Valuation				
Dividend yield	2.2%	2.6%	2.7%	2.8%
Adj. P/E	23.1	19.6	17.4	16.0
P/BV	1.8	1.7	1.7	1.7
P/EV	-	-	-	-

Summary Investment Thesis and Valuation

We believe the Chinese government's reform agenda for the sector will increasingly provide more benefit to government-owned top insurers (i.e., China Life), as they are the largest players in the market and are in the process of reducing business inefficiencies. Nevertheless, recovery in the agent business and an improving liability reserve structure should remain the key long-term fundamental drivers. We view the ongoing shift towards participating policies as favourable, especially amid falling bond yields. A resilient A-share market, better-than-expected new life sales, and a robust capital position are near-term catalysts to mitigate the dividend risk. We remain Neutral on China Life-A.

We use P/E valuation methodology for the company. We assign a 7x FY27E P/E and the historical 110% A-H valuation premium to arrive at our Dec-27 PT of Rmb39.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: China	0.46	0.40
	0.13	0.18
Macro:		
JPM Forecast Revision EM	0.29	0.35
JP Morgan EMBI Global Spread	-0.30	-0.28
Generic 1st 'CO' Future	-0.32	-0.13
Quant Styles:		
Growth	-0.26	-0.20
DivYld	0.20	0.16
LowVol	0.14	0.11

Investment Thesis, Valuation and Risks

China Life Insurance - A (Neutral; Price Target: Rmb39.00)

Investment Thesis

We believe the Chinese government's reform agenda for the sector will increasingly provide more benefit to government-owned top insurers (i.e., China Life), as they are the largest players in the market and are in the process of reducing business inefficiencies. Nevertheless, recovery in the agent business and an improving liability reserve structure should remain the key long-term fundamental drivers. We view the ongoing shift towards participating policies as favourable, especially amid falling bond yields. A resilient A-share market, better-than-expected new life sales, and a robust capital position are near-term catalysts to mitigate the dividend risk. We remain Neutral on China Life-A.

Valuation

We use P/E valuation methodology for the company. We assign a 7x FY27E P/E and the historical 110% A-H valuation premium to arrive at our Dec-27 PT of Rmb39.

Valuation summary (Rmb)

	2026E	2027E	2028E
EPS	6.06	5.27	5.66
Target P/E		7x	
Historical A-H premium		110%	
Value per share (Dec-27E)		39.5	
Time factor		1.00	
Dec-27 PT		39.0	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) favourable A-share market movement on earnings and consequently dividends; 2) faster-than-expected business development in the agency distribution channel; and 3) stronger-than-expected new life business sales underpinned by private pension scheme expansion and government initiatives for health coverage for the pre-existing group.

Downside risks include: 1) A-share market volatility putting downward pressure on earnings and consequently dividends; 2) slower-than-expected business development in the agency distribution channel; and 3) weaker-than-expected new life business sales underpinned by private pension scheme expansion and government initiatives for health coverage for the pre-existing group.

China Life Insurance - A: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Premiums - Life	729,887	782,143	848,298	930,002	Return on equity (ROE)	8.1%	9.1%	9.8%	10.3%
Fee income	-	-	-	-	Return on equity (ex. AOCI)	8.1%	9.1%	9.8%	10.3%
Net investment income	221,859	239,669	262,478	287,355	ROA	0.7%	0.8%	0.8%	0.8%
Other income	-	-	-	-	BVPS	21.74	22.73	23.96	24.01
Total revenues - life	951,746	1,021,812	1,110,776	1,217,357	BVPS (ex. AOCI)	21.74	22.73	23.96	24.01
					Dividend payout ratio	49.9%	50.8%	46.3%	45.6%
Benefits & losses	(858,861)	(916,483)	(994,001)	(1,089,738)	Total revenue growth	9.4%	7.4%	8.7%	9.6%
Interest credited	-	-	-	-	Total expense growth	-	-	-	-
Amortization of acquisition costs (net)	-	-	-	-	Adj. PBT growth	16.0%	18.0%	12.5%	9.1%
G&A Expense	(146,834)	(157,346)	(170,655)	(187,091)	EPS y/y Growth	16.0%	18.1%	12.4%	8.8%
Total expenses	(1,013,710)	(1,082,419)	(1,173,972)	(1,287,043)	BVPS (ex. AOCI) growth	4.1%	4.6%	5.4%	0.2%
					Tax rate	15.0%	15.0%	15.0%	15.0%
Life Operating Income	(61,964)	(60,607)	(63,196)	(69,686)					
Net Interest	-	-	-	-	Adj. P/E (x)	23.1	19.6	17.4	16.0
Adj. PBT	59,463	70,160	78,938	86,096	P/BV (x)	1.8	1.7	1.7	1.7
Income taxes	(8,919)	(10,524)	(11,841)	(12,914)	Dividend Yield	2.2%	2.6%	2.7%	2.8%
Adj. Net Income	48,529	57,320	64,433	70,119					
Shares outstanding	28,265	28,265	28,265	28,265					
Adj. EPS	1.72	2.03	2.28	2.48					
Reported EPS	1.72	2.03	2.28	2.48					
DPS Reported	0.86	1.03	1.05	1.13					
Balance Sheet and Capital Data									
Cash & Cash Equivalents	672,244	736,560	806,316	882,791					
Investments	6,187,392	6,779,362	7,421,402	8,125,281					
o/w Equity investments	1,303,331	1,428,025	1,563,267	1,711,534					
o/w Fixed income investments	3,498,415	3,833,121	4,196,137	4,594,117					
Total investments & Cash	6,859,636	7,515,923	8,227,719	9,008,072					
Net Intangibles	-	-	-	-					
Other long term assets	329,329	389,324	475,381	552,336					
Total Assets	7,188,965	7,905,247	8,703,099	9,560,407					
LT policyholder liabilities	5,716,364	6,263,269	6,856,432	7,506,727					
Reinsurance Premium Payable	-	-	-	-					
Debt	0	0	0	0					
Other liabilities	844,539	983,388	1,150,796	1,353,349					
Total Liabilities	6,560,903	7,246,657	8,007,229	8,860,076					
Shareholders' equity	614,365	642,576	677,193	678,591					
Shareholders' equity (ex. AOCI)	614,365	642,576	677,193	678,591					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Overweight

2601.HK, 2601 HK

Price (30 Jul 26): HK\$31.34

Price Target (Dec-27): HK\$43.00

China Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	4	9	7	13	11
Growth	84	76	82	84	84
Momentum	58	14	20	34	81
Quality	40	47	52	61	56
Low Vol	53	68	74	50	53
ESGQ	15	12	4	93	14

Sources for: Style Exposure – J.P. Morgan Global Markets
Strategy; all other tables are company data and J.P. Morgan
estimates.

China Pacific Insurance Group - H

Quality OPAT growth supports OW; Interim dividend adds upside

For CPIC-H, we believe the key narratives remain intact: stronger life sales momentum, improving earnings quality from embedded value unwind, and resilient non-life underwriting. Our current forecast points to 1H26E OPAT growth of 6% oya to Rmb21B.

CPIC-H's consensus dividend yield appears lower at 4.8%, versus 5.4% for both PICC P&C and PICC Group-H. However, its first interim dividend proposal (JPMe: Rmb0.37 per share), lower reinvestment risk, stronger capital position and similarly robust life sales outlook to China Life and Ping An justify retaining our OW rating.

Reflecting favourable new life sales and the strong equity market rally, we revise up our FY26E net profit forecast to Rmb56B, implying 6% oya growth. We keep our PT unchanged at HK\$43 while rolling forward the valuation timeframe from Dec-26 to Dec-27.

Table 14: CPIC Group: Revision table

Rmb in million, %

	New	2026e Old	Chg.	New	2027e Old	Chg.	New	2028e Old	Chg.
Operating income	434,460	414,987	5%	453,992	439,123	3%	480,925	470,026	2%
Insurance revenue	309,858	309,858	0%	330,446	331,030	0%	355,523	357,393	-1%
Interest income	59,788	59,788	0%	60,846	60,846	0%	62,021	62,021	0%
Investment income	56,134	36,661	53%	53,886	38,433	40%	54,424	41,655	31%
Other operating income	4,779	4,779	0%	4,779	4,779	0%	4,779	4,779	0%
Operating expense	(362,432)	(361,469)	0%	(385,152)	(383,893)	0%	(415,547)	(411,642)	1%
Insurance service expenses	(274,120)	(273,156)	0%	(292,310)	(290,692)	1%	(315,241)	(310,131)	2%
Other operating expenses	(14,752)	(14,752)	0%	(14,752)	(14,752)	0%	(14,752)	(14,752)	0%
Operating profit	72,027	53,518	35%	68,840	55,231	25%	65,378	58,384	12%
Add: Non-operating income	193	193	0%	193	193	0%	193	193	0%
Less: Non-operating expenses	(299)	(299)	0%	(299)	(299)	0%	(299)	(299)	0%
Profit before tax	71,921	53,412	35%	68,734	55,125	25%	65,272	58,278	12%
Less: Income tax	(13,488)	(10,711)	26%	(12,949)	(10,908)	19%	(12,454)	(11,405)	9%
Net profit	58,434	42,701	37%	55,785	44,217	26%	52,818	46,874	13%
Attributable to shareholders of the parent	56,436	41,241	37%	53,878	42,705	26%	51,013	45,271	13%
Non-controlling interests	1,998	1,460	37%	1,907	1,512	26%	1,806	1,603	13%

Source: J.P. Morgan estimates.

Table 15: CPIC Group: Semiannual earnings table

Rmb in million, %

	1H25	1H26E	Y/Y	FY25	FY26E	Y/Y
Operating income	200,496	222,798	11%	435,156	434,460	0%
Insurance revenue	141,824	154,929	9%	288,910	309,858	7%
Interest income	29,061	29,894	3%	58,832	59,788	2%
Investment income	21,671	33,680	55%	52,657	56,134	7%
Operating expenses	(168,224)	(181,216)	8%	(368,982)	(362,432)	-2%
Insurance service expenses	(120,169)	(137,060)	14%	(252,043)	(274,120)	9%
Insurance finance income/(expenses) from insurance contracts issued	(40,698)	(29,337)	-28%	(101,835)	(58,674)	-42%
Profit before tax	32,259	41,529	29%	66,068	71,921	9%
Net profit	28,806	34,785	21%	55,399	58,434	5%
Attributable to equity shareholders	27,885	33,672	21%	53,505	56,436	5%
OPAT attributable to parent	19,909	21,054	6%	36,523	38,989	7%

Source: CPIC Group 1H25 interim report and FY25 annual report, J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	9,620
52-week range (HK\$)	40.46-26.50
Market cap (\$ mn)	38,446
Exchange rate	7.84
Free float (%)	92.8%
3M ADV (mn)	12.59
3M ADV (\$ mn)	49.5
Volatility (90 Day)	32
Index	HSI
BBG ANR (Buy Hold Sell)	18 1 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	49,520	69,938	68,130	64,793
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	12,737	10,602	9,299	9,233
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	3,811	(8,619)	(8,694)	(8,754)
Pre Tax Operational Income	66,068	71,921	68,734	65,272
Adj. net income	53,505	56,436	53,878	51,013
Comprehensive Profit	53,505	56,436	53,878	51,013
Adj. EPS	5.56	5.87	5.60	5.30
Comprehensive EPS	5.56	5.87	5.60	5.30
DPS	1.15	1.23	1.26	1.30
BVPS	34.74	37.38	40.14	43.00
Comprehensive BVPS	34.74	37.38	40.14	43.00
Margins and Growth				
Adj. EPS growth	19.0%	5.5%	(4.5%)	(5.3%)
Comprehensive EPS growth	19.0%	5.5%	(4.5%)	(5.3%)
DPS growth	6.5%	7.1%	2.3%	3.1%
Ratios				
Primary P&C combined ratio (%)	-	-	-	-
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	-	-	-	-
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	-	-	-	-
ROE	18.0%	18.0%	16.0%	14.1%
Comprehensive ROE	18.0%	18.0%	16.0%	14.1%
Debt leverage ratio	-	-	-	-
Valuation				
Dividend yield	4.3%	4.6%	4.7%	4.8%
P/ BV	0.8	0.7	0.7	0.6
Comprehensive P/BV	0.8	0.7	0.7	0.6

Summary Investment Thesis and Valuation

We forecast 12% oya growth in FY26 new business value. As asset risk seems to be receding, we are not concerned about the high level of stress on investment assets (portion of non-standard assets: 10% of total AUM as of Jun-25). Also, regulatory control on the bancassurance channel has been helpful in achieving a higher loading margin. Hence, following the government call for adding more equity holdings and a large portion of the equity holdings classified as FVPL, CPIC Group may be more volatile compared to major peers in terms of net profit if the equity market turns more volatile. However, agent headcount stabilization and a balanced distribution channel could facilitate a resilient underwriting business, heralding a more sustainable business recovery to support multiple expansion.

Our Dec-27 PT of HK\$43 is based on a SOTP valuation. We use a P/E approach for the Life business (based on 7x FY27E) and the Non-Life business (based on 4x FY27E) to arrive at our price target.

Performance Drivers

Market	6%
Region	6%
Macro	15%
Style	14%
Idiosyn.	60%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.39	0.33
Region: China	0.33	0.34
Macro:		
JP Morgan EMBI Global Spread	-0.25	-0.28
US 10 Year Yield	0.21	0.22
Citi Economic Surprise - EM	0.20	-0.17
Quant Styles:		
Growth	-0.32	-0.30
Quality	0.01	-0.22
DivYld	0.26	0.17

Investment Thesis, Valuation and Risks

China Pacific Insurance Group - H (Overweight; Price Target: HK\$43.00)

Investment Thesis

We forecast 12% oya growth in FY26 new business value. As asset risk seems to be receding, we are not concerned about the high level of stress on investment assets (portion of non-standard assets: 10% of total AUM as of Jun-25). Also, regulatory control on the bancassurance channel has been helpful in achieving a higher loading margin. Hence, following the government call for adding more equity holdings and a large portion of the equity holdings classified as FVPL, CPIC Group may be more volatile compared to major peers in terms of net profit if the equity market turns more volatile. However, agent headcount stabilization and a balanced distribution channel could facilitate a resilient underwriting business, heralding a more sustainable business recovery to support multiple expansion.

Valuation

Our Dec-27 PT of HK\$43 is based on a SOTP valuation. We use a P/E approach for the Life business (based on 7x FY27E) and the Non-Life business (based on 4x FY27E) to arrive at our price target.

	HK\$	Methodology
Life	45.5	Based on 7x P/E
Non-Life	3.3	Based on 4x P/E
Others	(6.0)	
Share price equivalent (Dec-27E)	42.8	Sum-of-the-parts
PT (Dec-27)	43.0	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Key upside risks to our rating and price target include: 1) faster-than-expected sales volume from lower-than-expected competitive intensity; 2) faster-than-expected NBV growth from the protection market, leading to better margin improvement; and 3) China's credit cycle easing.

Key downside risks include: 1) lower-than-expected sales volume from higher-than-expected competitive intensity; 2) lower-than-expected NBV growth from the protection market, leading to slower margin improvement; and 3) China's credit cycle tightening.

China Pacific Insurance Group - H: Summary of Financials

INCOME STATEMENT					BALANCE SHEET				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	62,789	65,301	67,913	70,629
Life operating profit	49,520	69,938	68,130	64,793	Investments	3,039,987	3,161,586	3,288,050	3,419,572
Life reinsurance operating profit	-	-	-	-	Investment property	-	-	-	-
P&C operating profit	12,737	10,602	9,299	9,233	Goodwill	-	-	-	-
P&C reinsurance operating profit	-	-	-	-	Other intangibles	-	-	-	-
Other pre-tax profit	3,811	(8,619)	(8,694)	(8,754)	Other assets	41,991	43,671	45,417	47,234
					Total Assets	3,144,767	3,270,558	3,401,380	3,537,435
Consolidated P&L					Insurance liabilities	2,466,607	2,565,271	2,667,882	2,774,597
Insurance revenue	-	-	-	-	o/w CSM	356,842	369,830	385,842	405,781
Insurance service result	36,867	35,738	38,136	40,282	o/w Risk adjustment	-	-	-	-
Insurance net financial result	52,657	56,134	53,886	54,424	o/w PVCF	-	-	-	-
Interest expense	-	-	-	-	Investment contract liabilities	-	-	-	-
Other income and expenses	-	-	-	-	Senior debt	-	-	-	-
Total pre-tax profit	66,068	71,921	68,734	65,272	Subordinated debt	-	-	-	-
Income taxes	(10,669)	(13,488)	(12,949)	(12,454)	Other liabilities	343,936	345,655	347,382	349,119
Minority interest	(1,894)	(1,998)	(1,907)	(1,806)	Total Liabilities	2,810,543	2,910,926	3,015,265	3,123,716
Net income	53,505	56,436	53,878	51,013	Shareholders' equity	302,143	325,112	349,054	374,008
Pre Tax Operational Income	66,068	71,921	68,734	65,272	Preferred equity / hybrid capital	-	-	-	-
Adjusted Net income	53,505	56,436	53,878	51,013	Minority Interests	32,081	34,520	37,062	39,711
Comprehensive profit	53,505	56,436	53,878	51,013	Total Liabilities and Shareholder Equity	3,144,767	3,270,558	3,401,380	3,537,435
Adj. EPS	5.56	5.87	5.60	5.30	Comprehensive equity	302,143	325,112	349,054	374,008
Comprehensive EPS	5.56	5.87	5.60	5.30	Net CSM	-	-	-	-
DPS	1.15	1.23	1.26	1.30					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	34.74	37.38	40.14	43.00
Adj. EPS y/y Growth	19.0%	5.5%	(4.5%)	(5.3%)	Comprehensive BVPS	34.74	37.38	40.14	43.00
Comprehensive EPS y/y growth	19.0%	5.5%	(4.5%)	(5.3%)	ROE	18.0%	18.0%	16.0%	14.1%
DPS y/y Growth	6.5%	7.1%	2.3%	3.1%	Comprehensive ROE	18.0%	18.0%	16.0%	14.1%
Adj. P/E (x)	4.9	4.6	4.8	5.1	P/BV	0.8	0.7	0.7	0.6
Comprehensive P/E (x)	4.9	4.6	4.8	5.1	Comprehensive P/BV	0.8	0.7	0.7	0.6
Dividend Yield	4.3%	4.6%	4.7%	4.8%	Debt leverage ratio	-	-	-	-
P&C combined ratio	-	-	-	-					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	-	-	-	-					
Life new business CSM margin	-	-	-	-					
CSM release ratio	-	-	-	-					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Overweight

601601.SS, 601601.CH

Price (30 Jul 26): Rmb32.80

Price Target (Dec-27): Rmb50.00

China

Insurance

MW Kim^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	8	18	16	31	22
Growth	84	70	85	85	80
Momentum	62	20	35	22	82
Quality	41	49	53	60	45
Low Vol	37	39	37	31	25
ESGQ	15	12	4	93	14

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

China Pacific Insurance Group - A

OPAT quality improving, OW retained

For CPIC-A, we believe the key investment narratives remain intact: stronger life sales momentum, improving earnings quality from embedded value unwind, and resilient non-life underwriting. Our current forecast suggests 1H26E OPAT growth of 6% oya to Rmb21B.

While CPIC-A's yield is less compelling than some peers, its first interim dividend proposal (JPMe: Rmb0.37 per share), lower reinvestment risk, stronger capital position and similarly robust life sales outlook to China Life and Ping An should justify retaining our OW rating.

Reflecting favourable new life sales and the strong equity market rally, we revise up our FY26E net profit forecast to Rmb56B, implying 6% oya growth. We keep our PT unchanged at Rmb50 while rolling forward the valuation timeframe from Dec-26 to Dec-27.

Price Performance



— 601601.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-21.7%	15.0%	-11.9%	-15.6%
Rel	-17.6%	22.1%	-4.4%	-20.8%

Company Data

Shares O/S (mn)	9,620
52-week range (Rmb)	48.39-28.21
Market cap (\$ mn)	46,628
Exchange rate	6.77
Free float (%)	36.8%
3M ADV (mn)	59.40
3M ADV (\$ mn)	281.5
Volatility (90 Day)	39
Index	SHASHR
BBG ANR (Buy Hold Sell)	23 3 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	49,520	69,938	68,130	64,793
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	12,737	10,602	9,299	9,233
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	3,811	(8,619)	(8,694)	(8,754)
Pre Tax Operational Income	66,068	71,921	68,734	65,272
Adj. net income	53,505	56,436	53,878	51,013
Comprehensive Profit	53,505	56,436	53,878	51,013
Adj. EPS	5.56	5.87	5.60	5.30
Comprehensive EPS	5.56	5.87	5.60	5.30
DPS	1.15	1.23	1.26	1.30
BVPS	34.74	37.38	40.14	43.00
Comprehensive BVPS	34.74	37.38	40.14	43.00
Margins and Growth				
Adj. EPS growth	19.0%	5.5%	(4.5%)	(5.3%)
Comprehensive EPS growth	19.0%	5.5%	(4.5%)	(5.3%)
DPS growth	6.5%	7.1%	2.3%	3.1%
Ratios				
Primary P&C combined ratio (%)	-	-	-	-
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	-	-	-	-
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	-	-	-	-
ROE	18.0%	18.0%	16.0%	14.1%
Comprehensive ROE	18.0%	18.0%	16.0%	14.1%
Debt leverage ratio	-	-	-	-
Valuation				
Dividend yield	3.5%	3.8%	3.8%	4.0%
P/ BV	0.9	0.9	0.8	0.8
Comprehensive P/BV	0.9	0.9	0.8	0.8

Summary Investment Thesis and Valuation

We forecast 12% oya growth in FY26 new business value. As asset risk seems to be receding, we are not concerned about the high level of stress on investment assets (portion of non-standard assets: 10% of total AUM as of Jun-25). Also, regulatory control on the bancassurance channel has been helpful in achieving a higher loading margin. Hence, following the government call for adding more equity holdings and a large portion of the equity holdings classified as FVPL, CPIC Group may be more volatile compared to major peers in terms of net profit if the equity market turns more volatile. However, agent headcount stabilization and a balanced distribution channel could facilitate a resilient underwriting business, heralding a more sustainable business recovery to support multiple expansion.

Valuation

Our Dec-27 PT of Rmb50 is based on an SOTP valuation. We use a P/E approach for the Life business (based on 8x FY27E) and the Non-Life business (based on 4x FY27E). We then combine them with a historical A-H premium of 118% to arrive at our price target.

Performance Drivers

Market	0%
Region	1%
Macro	9%
Style	7%
Idiosyn.	83%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.18	0.12
Region: China	0.23	0.14
Macro:		
Markit EM Composite PMI SA	-0.18	-0.18
JP Morgan GBI-EM Global Div	0.20	0.17
JP Morgan EMBI Global Spread	-0.24	-0.16
Quant Styles:		
Growth	-0.26	-0.25
DivYld	0.20	0.18
Size	-0.21	-0.16

Investment Thesis, Valuation and Risks

China Pacific Insurance Group - A (Overweight; Price Target: Rmb50.00)

Investment Thesis

We forecast 12% oya growth in FY26 new business value. As asset risk seems to be receding, we are not concerned about the high level of stress on investment assets (portion of non-standard assets: 10% of total AUM as of Jun-25). Also, regulatory control on the bancassurance channel has been helpful in achieving a higher loading margin. Hence, following the government call for adding more equity holdings and a large portion of the equity holdings classified as FVPL, CPIC Group may be more volatile compared to major peers in terms of net profit if the equity market turns more volatile. However, agent headcount stabilization and a balanced distribution channel could facilitate a resilient underwriting business, heralding a more sustainable business recovery to support multiple expansion.

Valuation

Our Dec-27 PT of Rmb50 is based on an SOTP valuation. We use a P/E approach for the Life business (based on 8x FY27E) and the Non-Life business (based on 4x FY27E). We then combine them with a historical A-H premium of 118% to arrive at our price target.

	Rmb	Methodology
Life	45.0	Based on 8x P/E
Non-Life	3.0	Based on 4x P/E
Others	(5.4)	
Share price equivalent (Dec-27E)	42.5	Sum-of-the-parts
Historical A-H premium	118%	
PT (Dec-27)	50.0	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Key upside risks to our rating and price target include: 1) faster-than-expected sales volume from lower-than-expected competitive intensity; 2) faster-than-expected NBV growth from the protection market, leading to better margin improvement; and 3) China's credit cycle easing.

Key downside risks include: 1) a slower-than-expected consumption recovery in China, leading to lower-than-expected growth in new business value; 2) continuing pressure from the macro environment, i.e., a slower-than-expected recovery in local 10-year bond yields will likely delay a recovery in net profit; and 3) a rise in asset risk from a tightening of the credit cycle in China.

China Pacific Insurance Group - A: Summary of Financials

INCOME STATEMENT					BALANCE SHEET				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	62,789	65,301	67,913	70,629
Life operating profit	49,520	69,938	68,130	64,793	Investments	3,039,987	3,161,586	3,288,050	3,419,572
Life reinsurance operating profit	-	-	-	-	Investment property	-	-	-	-
P&C operating profit	12,737	10,602	9,299	9,233	Goodwill	-	-	-	-
P&C reinsurance operating profit	-	-	-	-	Other intangibles	-	-	-	-
Other pre-tax profit	3,811	(8,619)	(8,694)	(8,754)	Other assets	41,991	43,671	45,417	47,234
					Total Assets	3,144,767	3,270,558	3,401,380	3,537,435
Consolidated P&L					Insurance liabilities	2,466,607	2,565,271	2,667,882	2,774,597
Insurance revenue	-	-	-	-	o/w CSM	356,842	369,830	385,842	405,781
Insurance service result	36,867	35,738	38,136	40,282	o/w Risk adjustment	-	-	-	-
Insurance net financial result	52,657	56,134	53,886	54,424	o/w PVCF	-	-	-	-
Interest expense	-	-	-	-	Investment contract liabilities	-	-	-	-
Other income and expenses	-	-	-	-	Senior debt	-	-	-	-
Total pre-tax profit	66,068	71,921	68,734	65,272	Subordinated debt	-	-	-	-
Income taxes	(10,669)	(13,488)	(12,949)	(12,454)	Other liabilities	343,936	345,655	347,382	349,119
Minority interest	(1,894)	(1,998)	(1,907)	(1,806)	Total Liabilities	2,810,543	2,910,926	3,015,265	3,123,716
Net income	53,505	56,436	53,878	51,013	Shareholders' equity	302,143	325,112	349,054	374,008
Pre Tax Operational Income	66,068	71,921	68,734	65,272	Preferred equity / hybrid capital	-	-	-	-
Adjusted Net income	53,505	56,436	53,878	51,013	Minority Interests	32,081	34,520	37,062	39,711
Comprehensive profit	53,505	56,436	53,878	51,013	Total Liabilities and Shareholder Equity	3,144,767	3,270,558	3,401,380	3,537,435
Adj. EPS	5.56	5.87	5.60	5.30	Comprehensive equity	302,143	325,112	349,054	374,008
Comprehensive EPS	5.56	5.87	5.60	5.30	Net CSM	-	-	-	-
DPS	1.15	1.23	1.26	1.30					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	34.74	37.38	40.14	43.00
Adj. EPS y/y Growth	19.0%	5.5%	(4.5%)	(5.3%)	Comprehensive BVPS	34.74	37.38	40.14	43.00
Comprehensive EPS y/y growth	19.0%	5.5%	(4.5%)	(5.3%)	ROE	18.0%	18.0%	16.0%	14.1%
DPS y/y Growth	6.5%	7.1%	2.3%	3.1%	Comprehensive ROE	18.0%	18.0%	16.0%	14.1%
Adj. P/E (x)	5.9	5.6	5.9	6.2	P/BV	0.9	0.9	0.8	0.8
Comprehensive P/E (x)	5.9	5.6	5.9	6.2	Comprehensive P/BV	0.9	0.9	0.8	0.8
Dividend Yield	3.5%	3.8%	3.8%	4.0%	Debt leverage ratio	-	-	-	-
P&C combined ratio	-	-	-	-					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	-	-	-	-					
Life new business CSM margin	-	-	-	-					
CSM release ratio	-	-	-	-					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Neutral

1336.HK, 1336 HK

Price (30 Jul 26): HK\$48.54

▲ **Price Target (Dec-27): HK\$46.00**
Prior (Dec-26): HK\$45.00

China Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	5	10	14	3	1
Growth	71	79	91	84	82
Momentum	43	7	3	36	79
Quality	18	36	36	77	55
Low Vol	67	88	87	46	32
ESGQ	94	27	96	95	24

Sources for: Style Exposure – J.P. Morgan Global Markets
Strategy; all other tables are company data and J.P. Morgan
estimates.

New China Life Insurance - H

Strong profit rebound, but dividend visibility lags; Maintain N

Compared with major peers, New China Life has higher earnings sensitivity to equity market movements. It is therefore reasonable to expect strong net profit growth from the 1H26 A-share market rally. However, market reaction to the profit alert appears less favourable, reflecting concerns that bottom-line growth may not necessarily translate into a higher interim dividend.

New China Life-H currently offers an attractive 6% consensus dividend yield, but we see risk to this yield given its weaker insurance profit base and capital position versus peers. In Jul-26, the company issued up to Rmb10B of perpetual bonds to replenish capital and mitigate potential solvency pressure.

We factor favourable investment performance into our full-year forecast and lift our FY26E net profit estimate by 62% to Rmb37B. Our FY26E, FY27E and FY28E net profit forecasts now stand at Rmb37B, Rmb31B and Rmb32B, implying 3%, -18% and 6% oya growth, respectively. We raise our PT to HK\$46 from HK\$45, while extending the PT timeframe from Dec-26 to Dec-27.

Table 16: New China Life: Revision table

Rmb in million, %

	New	2026e Old	Chg.	New	2027e Old	Chg.	New	2028e Old	Chg.
Operating Income	131,060	111,893	17%	122,602	114,551	7%	126,235	117,780	7%
Insurance service income	50,882	50,882	0%	51,181	51,180	0%	51,954	51,952	0%
Interest income	33,490	33,490	0%	34,495	34,495	0%	35,530	35,530	0%
Investment income	46,002	26,834	71%	36,226	28,176	29%	38,038	29,585	29%
Other operating income	685	685	0%	699	699	0%	713	713	0%
Operating expenses	(81,145)	(81,145)	0%	(81,725)	(81,724)	0%	(82,995)	(82,993)	0%
Insurance service expenses	(33,582)	(33,582)	0%	(33,779)	(33,779)	0%	(34,289)	(34,288)	0%
Allocation of reinsurance premiums paid	(721)	(721)	0%	(726)	(726)	0%	(737)	(737)	0%
Insurance finance expenses from insurance contracts issued	(39,688)	(39,688)	0%	(39,921)	(39,921)	0%	(40,524)	(40,523)	0%
Less: Finance income from reinsurance contracts held	165	165	0%	165	165	0%	168	168	0%
Other operating expenses	(3,769)	(3,769)	0%	(3,844)	(3,844)	0%	(3,921)	(3,921)	0%
Operating profit	49,915	30,748	62%	40,877	32,827	25%	43,240	34,787	24%
Net profit before income tax expenses	49,915	30,748	62%	40,877	32,827	25%	43,240	34,787	24%
Less: Income tax expenses	(12,479)	(7,687)	62%	(10,219)	(8,207)	25%	(10,810)	(8,697)	24%
Net profit	37,436	23,061	62%	30,658	24,620	25%	32,430	26,091	24%
-Attributable to Shareholders of the Company	37,431	23,058	62%	30,654	24,617	25%	32,425	26,087	24%

Source: J.P. Morgan estimates.

Table 17: New China Life: Semiannual earnings table

Rmb in million, %

	1H25	1H26E	Y/Y	FY25	FY26E	Y/Y
Operating income	69,429	69,210	0%	155,551	131,060	-16%
Insurance revenue	24,753	25,441	3%	50,297	50,882	1%
Interest income	16,213	16,745	3%	32,515	33,490	3%
Investment income	28,096	26,681	-5%	72,067	46,002	-36%
Operating expenses	(51,941)	(40,573)	-22%	(115,026)	(81,145)	-29%
Insurance service expenses	(16,242)	(16,791)	3%	(31,748)	(33,582)	6%
Insurance finance income/(expenses) from insurance contracts issued	(34,007)	(19,844)	-42%	(78,162)	(39,688)	-49%
Profit before tax	16,218	28,638	77%	40,525	49,915	23%
Net profit	14,801	22,398	51%	36,289	37,436	3%
Attributable to equity shareholders	14,799	22,396	51%	36,284	37,431	3%

Source: New China Life 1H25 interim report and FY25 annual report, J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	3,120
52-week range (HK\$)	65.80-41.46
Market cap (\$ mn)	19,308
Exchange rate	7.84
Free float (%)	90.2%
3M ADV (mn)	9.54
3M ADV (\$ mn)	59.4
Volatility (90 Day)	45
Index	HSI
BBG ANR (Buy Hold Sell)	8 4 3

Key Metrics (FYE Dec)

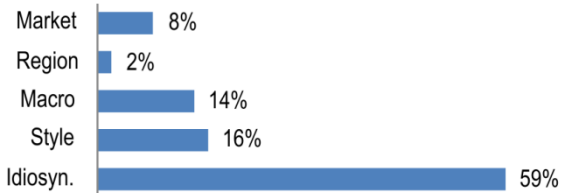
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	40,525	49,915	40,877	43,240
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	-	-	-	-
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	0	0	0	(0)
Pre Tax Operational Income	40,525	49,915	40,877	43,240
Adj. net income	36,284	37,431	30,654	32,425
Comprehensive Profit	36,284	37,431	30,654	32,425
Adj. EPS	11.63	12.00	9.83	10.39
Comprehensive EPS	11.63	12.00	9.83	10.39
DPS	2.73	2.52	2.56	2.70
BVPS	35.77	39.39	43.23	47.32
Comprehensive BVPS	-	-	-	-
Margins and Growth				
Adj. EPS growth	38.3%	3.2%	(18.1%)	5.8%
Comprehensive EPS growth	38.3%	3.2%	(18.1%)	5.8%
DPS growth	7.9%	(7.7%)	1.4%	5.8%
Ratios				
Primary P&C combined ratio (%)	-	-	-	-
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	-	-	-	-
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	-	-	-	-
ROE	34.9%	31.9%	23.8%	23.0%
Comprehensive ROE	34.9%	31.9%	23.8%	23.0%
Debt leverage ratio	-	-	-	-
Valuation				
Dividend yield	6.5%	6.0%	6.1%	6.5%
P/ BV	1.2	1.1	1.0	0.9
Comprehensive P/BV	-	-	-	-

Summary Investment Thesis and Valuation

Following ongoing de-risking efforts on its investment book, the company is reducing its exposure to non-standard assets with seemingly disciplined pricing on its product offerings (NSA/total AUM 4% as of Dec-25 vs. 6% as of Dec-24). We remain cautious on the company's net profit volatility due to substantial sensitivity to equity market volatility after a large amount of equity holdings addition. This might pose risks to earnings if the equity market turns unfavorable.

We use a P/E valuation methodology for the company. We assign a 4x FY27E P/E (vs. the historical average/minimum of 10x/2x) to arrive at our Dec-27 PT of HK\$46.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.41	0.37
Region: China	0.38	0.25
Macro:		
JP Morgan EMBI Global Spread	-0.31	-0.23
Citi Economic Surprise - EM	-0.03	-0.20
JPM China A-shares Sentiment	0.03	0.16
Quant Styles:		
Growth	-0.29	-0.34
DivYld	0.22	0.21
Value	0.05	0.17

Investment Thesis, Valuation and Risks

New China Life Insurance - H *(Neutral; Price Target: HK\$46.00)*

Investment Thesis

Following ongoing de-risking efforts on its investment book, the company is reducing its exposure to non-standard assets with seemingly disciplined pricing on its product offerings (NSA/total AUM 4% as of Dec-25 vs. 6% as of Dec-24). We remain cautious on the company's net profit volatility due to substantial sensitivity to equity market volatility after a large amount of equity holdings addition. This might pose risks to earnings if the equity market turns unfavorable.

Valuation

We use a P/E valuation methodology for the company. We assign a 4x FY27E P/E (vs. the historical average/minimum of 10x/2x) to arrive at our Dec-27 PT of HK\$46.

Valuation summary (HK\$)

	2026E	2027E	2028E
EPS	13.4	10.98	11.61
Target P/E		4x	
Historical average/min P/E		10x/2x	
Value per share (Dec-27E)		46.1	
Time factor		1.00	
Dec-27 PT		46.0	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Upside risks include: (1) faster-than-expected product mix enhancement; (2) slower-than-expected headcount liquidation; and (3) stronger-than-expected equity market performance.

Downside risks include: (1) slower-than-expected product mix enhancement; (2) faster-than-expected headcount liquidation; and (3) weaker-than-expected equity market performance.

New China Life Insurance - H: Summary of Financials

INCOME STATEMENT					BALANCE SHEET				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	42,898	28,515	29,941	31,438
Life operating profit	40,525	49,915	40,877	43,240	Investments	1,841,227	1,916,742	2,012,579	2,113,208
Life reinsurance operating profit	-	-	-	-	Investment property	-	-	-	-
P&C operating profit	-	-	-	-	Goodwill	-	-	-	-
P&C reinsurance operating profit	-	-	-	-	Other intangibles	-	-	-	-
Other pre-tax profit	0	0	0	(0)	Other assets	15,359	49,201	51,661	54,244
					Total Assets	1,899,484	1,994,458	2,094,181	2,198,890
Consolidated P&L					Insurance liabilities	1,532,638	1,609,270	1,689,733	1,774,220
Insurance revenue	-	-	-	-	o/w CSM	181,723	182,789	185,549	189,927
Insurance service result	18,549	17,300	17,402	17,664	o/w Risk adjustment	-	-	-	-
Insurance net financial result	21,976	32,615	23,476	25,575	o/w PVCF	-	-	-	-
Interest expense	-	-	-	-	Investment contract liabilities	-	-	-	-
Other income and expenses	-	-	-	-	Senior debt	-	-	-	-
Total pre-tax profit	40,525	49,915	40,877	43,240	Subordinated debt	-	-	-	-
Income taxes	(4,236)	(12,479)	(10,219)	(10,810)	Other liabilities	255,268	262,321	269,585	277,068
Minority interest	(5)	(5)	(4)	(4)	Total Liabilities	1,787,906	1,871,591	1,959,319	2,051,288
Net income	36,284	37,431	30,654	32,425	Shareholders' equity	111,544	122,830	134,821	147,557
Pre Tax Operational Income	40,525	49,915	40,877	43,240	Preferred equity / hybrid capital	-	-	-	-
Adjusted Net income	36,284	37,431	30,654	32,425	Minority Interests	34	37	41	45
Comprehensive profit	36,284	37,431	30,654	32,425	Total Liabilities and Shareholder Equity	1,899,484	1,994,458	2,094,181	2,198,890
Adj. EPS	11.63	12.00	9.83	10.39	Comprehensive equity	111,544	122,830	134,821	147,557
Comprehensive EPS	11.63	12.00	9.83	10.39	Net CSM	-	-	-	-
DPS	2.73	2.52	2.56	2.70					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	35.77	39.39	43.23	47.32
Adj. EPS y/y Growth	38.3%	3.2%	(18.1%)	5.8%	Comprehensive BVPS	-	-	-	-
Comprehensive EPS y/y growth	38.3%	3.2%	(18.1%)	5.8%	ROE	34.9%	31.9%	23.8%	23.0%
DPS y/y Growth	7.9%	(7.7%)	1.4%	5.8%	Comprehensive ROE	34.9%	31.9%	23.8%	23.0%
Adj. P/E (x)	3.6	3.5	4.3	4.0	P/BV	1.2	1.1	1.0	0.9
Comprehensive P/E (x)	3.6	3.5	4.3	4.0	Comprehensive P/BV	-	-	-	-
Dividend Yield	6.5%	6.0%	6.1%	6.5%	Debt leverage ratio	-	-	-	-
P&C combined ratio	-	-	-	-					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	-	-	-	-					
Life new business CSM margin	-	-	-	-					
CSM release ratio	-	-	-	-					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Neutral

601336.SS, 601336.CH

Price (30 Jul 26): Rmb62.71

Price Target (Dec-27): Rmb59.00

China Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	11	21	28	25	13
Growth	76	71	89	88	84
Momentum	33	8	11	10	71
Quality	18	36	38	77	60
Low Vol	43	50	46	31	27
ESGQ	94	27	96	95	24

Sources for: Style Exposure – J.P. Morgan Global Markets
Strategy; all other tables are company data and J.P. Morgan
estimates.

New China Life Insurance - A

Equity beta lifts profit, but dividend risk remains; Maintain N

Compared with major peers, New China Life has higher earnings sensitivity to equity market movements. It is therefore reasonable to expect strong net profit growth from the 1H26 A-share market rally. However, market reaction to the profit alert appears less favourable, reflecting concerns that bottom-line growth may not necessarily translate into a higher interim dividend.

New China Life-A currently offers an attractive 4% consensus dividend yield, but we see risk to this yield given its weaker insurance profit base and capital position versus peers. In Jul-26, the company issued up to Rmb10B of perpetual bonds to replenish capital and mitigate potential solvency pressure.

We factor favourable investment performance into our full-year forecast and lift our FY26E net profit estimate by 62% to Rmb37B. Our FY26E, FY27E and FY28E net profit forecasts now stand at Rmb37B, Rmb31B and Rmb32B, implying 3%, -18% and 6% oya growth, respectively. We keep our PT for New China Life-A unchanged at Rmb59, while extending the PT timeframe from Dec-26 to Dec-27.

Price Performance



— 601336.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-10.0%	5.1%	-2.6%	-8.1%
Rel	-5.9%	12.2%	4.9%	-13.4%

Company Data

Shares O/S (mn)	3,120
52-week range (Rmb)	85.85-55.01
Market cap (\$ mn)	28,908
Exchange rate	6.77
Free float (%)	32.8%
3M ADV (mn)	28.60
3M ADV (\$ mn)	261.8
Volatility (90 Day)	42
Index	SHASHR
BBG ANR (Buy Hold Sell)	22 3 3

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	40,525	49,915	40,877	43,240
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	-	-	-	-
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	0	0	0	(0)
Pre Tax Operational Income	40,525	49,915	40,877	43,240
Adj. net income	36,284	37,431	30,654	32,425
Comprehensive Profit	36,284	37,431	30,654	32,425
Adj. EPS	11.63	12.00	9.83	10.39
Comprehensive EPS	11.63	12.00	9.83	10.39
DPS	2.73	2.52	2.56	2.70
BVPS	35.77	39.39	43.23	47.32
Comprehensive BVPS	-	-	-	-
Margins and Growth				
Adj. EPS growth	38.3%	3.2%	(18.1%)	5.8%
Comprehensive EPS growth	38.3%	3.2%	(18.1%)	5.8%
DPS growth	7.9%	(7.7%)	1.4%	5.8%
Ratios				
Primary P&C combined ratio (%)	-	-	-	-
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	-	-	-	-
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	-	-	-	-
ROE	34.9%	31.9%	23.8%	23.0%
Comprehensive ROE	34.9%	31.9%	23.8%	23.0%
Debt leverage ratio	-	-	-	-
Valuation				
Dividend yield	4.4%	4.0%	4.1%	4.3%
P/ BV	1.8	1.6	1.5	1.3
Comprehensive P/BV	-	-	-	-

Summary Investment Thesis and Valuation

Following ongoing de-risking efforts on its investment book, the company is reducing its exposure to non-standard assets with seemingly disciplined pricing on its product offerings (NSA/total AUM 4% as of Dec-25 vs. 6% as of Dec-24). We remain cautious on the company's net profit volatility due to substantial sensitivity to equity market volatility after a large amount of equity holdings addition. This might pose risks to earnings if the equity market turns unfavorable.

We use a price to earnings (P/E) valuation methodology for the company. We assign a 6x FY27E P/E (vs. historical average/minimum of 11x/2x, respectively) to arrive at our Dec-27 PT of Rmb59.

Performance Drivers

Market	4%
Region	0%
Macro	13%
Style	4%
Idiosyn.	79%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.39	0.27
Region: China	0.18	0.07
Macro:		
JP Morgan EMBI Global Spread	-0.27	-0.20
JPM Forecast Revision EM	0.17	0.15
HSI Volatility Index	0.06	0.15
Quant Styles:		
Size	-0.30	-0.22
Quality	-0.16	-0.17
Growth	-0.13	-0.17

Investment Thesis, Valuation and Risks

New China Life Insurance - A *(Neutral; Price Target: Rmb59.00)*

Investment Thesis:

Following ongoing de-risking efforts on its investment book, the company is reducing its exposure to non-standard assets with seemingly disciplined pricing on its product offerings (NSA/total AUM 4% as of Dec-25 vs. 6% as of Dec-24). We remain cautious on the company's net profit volatility due to substantial sensitivity to equity market volatility after a large amount of equity holdings addition. This might pose risks to earnings if the equity market turns unfavorable.

Valuation

We use a price to earnings (P/E) valuation methodology for the company. We assign a 6x FY27E P/E (vs. historical average/minimum of 11x/2x, respectively) to arrive at our Dec-27 PT of Rmb59.

Valuation summary (Rmb)

	2026E	2027E	2028E
EPS(Rmb per share)	12.00	9.83	10.40
Target P/E		6x	
Historical average/min P/E		11/2x	
Value per share (Dec-27E)		59.0	
Time factor		1.00	
Dec-27 PT		59.0	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) faster-than-expected product mix enhancement; 2) lower-than-expected agent headcount decline, and 3) stronger-than-expected equity market performance.

Downside risks include: 1) slower-than-expected product mix enhancement; 2) faster-than-expected decline in agent headcount; and 3) weaker-than-expected equity market performance.

New China Life Insurance - A: Summary of Financials

INCOME STATEMENT					BALANCE SHEET				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	42,898	28,515	29,941	31,438
Life operating profit	40,525	49,915	40,877	43,240	Investments	1,841,227	1,916,742	2,012,579	2,113,208
Life reinsurance operating profit	-	-	-	-	Investment property	-	-	-	-
P&C operating profit	-	-	-	-	Goodwill	-	-	-	-
P&C reinsurance operating profit	-	-	-	-	Other intangibles	-	-	-	-
Other pre-tax profit	0	0	0	(0)	Other assets	15,359	49,201	51,661	54,244
					Total Assets	1,899,484	1,994,458	2,094,181	2,198,890
Consolidated P&L					Insurance liabilities	1,532,638	1,609,270	1,689,733	1,774,220
Insurance revenue	-	-	-	-	o/w CSM	181,723	182,789	185,549	189,927
Insurance service result	18,549	17,300	17,402	17,664	o/w Risk adjustment	-	-	-	-
Insurance net financial result	21,976	32,615	23,476	25,575	o/w PVCF	-	-	-	-
Interest expense	-	-	-	-	Investment contract liabilities	-	-	-	-
Other income and expenses	-	-	-	-	Senior debt	-	-	-	-
Total pre-tax profit	40,525	49,915	40,877	43,240	Subordinated debt	-	-	-	-
Income taxes	(4,236)	(12,479)	(10,219)	(10,810)	Other liabilities	255,268	262,321	269,585	277,068
Minority interest	(5)	(5)	(4)	(4)	Total Liabilities	1,787,906	1,871,591	1,959,319	2,051,288
Net income	36,284	37,431	30,654	32,425	Shareholders' equity	111,544	122,830	134,821	147,557
Pre Tax Operational Income	40,525	49,915	40,877	43,240	Preferred equity / hybrid capital	-	-	-	-
Adjusted Net income	36,284	37,431	30,654	32,425	Minority Interests	34	37	41	45
Comprehensive profit	36,284	37,431	30,654	32,425	Total Liabilities and Shareholder Equity	1,899,484	1,994,458	2,094,181	2,198,890
Adj. EPS	11.63	12.00	9.83	10.39	Comprehensive equity	111,544	122,830	134,821	147,557
Comprehensive EPS	11.63	12.00	9.83	10.39	Net CSM	-	-	-	-
DPS	2.73	2.52	2.56	2.70					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	35.77	39.39	43.23	47.32
Adj. EPS y/y Growth	38.3%	3.2%	(18.1%)	5.8%	Comprehensive BVPS	-	-	-	-
Comprehensive EPS y/y growth	38.3%	3.2%	(18.1%)	5.8%	ROE	34.9%	31.9%	23.8%	23.0%
DPS y/y Growth	7.9%	(7.7%)	1.4%	5.8%	Comprehensive ROE	34.9%	31.9%	23.8%	23.0%
Adj. P/E (x)	5.4	5.2	6.4	6.0	P/BV	1.8	1.6	1.5	1.3
Comprehensive P/E (x)	5.4	5.2	6.4	6.0	Comprehensive P/BV	-	-	-	-
Dividend Yield	4.4%	4.0%	4.1%	4.3%	Debt leverage ratio	-	-	-	-
P&C combined ratio	-	-	-	-					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	-	-	-	-					
Life new business CSM margin	-	-	-	-					
CSM release ratio	-	-	-	-					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

PICC Group - H

Neutral

1339.HK, 1339 HK

Price (30 Jul 26): HK\$5.53

▲ **Price Target (Dec-27): HK\$6.00**
Prior (Dec-26): HK\$5.80

China

Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

PICC P&C drives PT lift, Neutral unchanged

Extending our PT timeframe from Dec-26 to Dec-27, we marginally lift our PICC Group-H PT to HK\$6.0 from HK\$5.8. This is primarily driven by a higher Dec-27 PT for PICC P&C (raised to HK\$15 from HK\$14) which represents 86% of PICC Group's SOTP valuation. PICC Group currently owns 69% of PICC P&C.

Reflecting more resilient non-life underwriting profitability in 1H26E, supported by milder YTD catastrophic loss development, while also factoring in a softer forward earnings profile, we revise our PICC Group consolidated model. As a result, we raise our FY26E, FY27E and FY28E net profit forecasts by 28%, 5% and 6% to Rmb47B, Rmb42B and Rmb42B, respectively.

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	5	4	5	5	3
Growth	83	67	80	81	86
Momentum	82	17	6	20	48
Quality	47	50	51	52	62
Low Vol	50	58	50	10	15
ESGQ	1	7	1	16	9

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Table 18: PICC Group: Earnings revision table

Rmb in million, %

	2026e			2027e			2028e		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Insurance revenue	597,549	597,512	0%	633,562	633,514	0%	650,807	650,812	0%
interest income and net investment gain	74,684	53,552	39%	54,754	52,201	5%	55,489	53,184	4%
Exchange gains	(429)	(315)	36%	(429)	(315)	36%	(429)	(315)	36%
Other income	11,175	11,042	1%	11,203	11,067	1%	11,095	10,957	1%
Insurance service expenses	554,428	559,228	-1%	591,143	595,067	-1%	606,111	611,104	-1%
Finance costs	3,543	3,539	0%	3,603	3,600	0%	3,618	3,615	0%
Profit before tax	78,287	60,909	29%	68,767	65,318	5%	70,428	66,354	6%
Less: income tax expense	(14,746)	(11,333)	30%	(12,618)	(12,064)	5%	(13,071)	(12,416)	5%
Net profit	63,541	49,577	28%	56,150	53,255	5%	57,358	53,938	6%
-attributable to owners of the company	47,014	36,681	28%	41,545	39,403	5%	42,438	39,908	6%
-attributable to owners of non-controlling interest	16,528	12,895	28%	14,605	13,852	5%	14,919	14,030	6%

Source: J.P. Morgan estimates.

Table 19: PICC Group: Semiannual earnings table

Rmb in million, %

	1H25	1H26E	Y/Y	FY25	FY26E	Y/Y
Operating income	324,122	347,606	7%	669,254	683,676	2%
Insurance revenue	280,250	298,774	7%	570,717	597,549	5%
Interest income	15,834	13,309	-16%	31,851	26,618	-16%
Investment income	25,577	29,801	17%	47,709	48,066	1%
Operating expenses	280,338	301,919	8%	594,638	604,198	2%
Insurance service expenses	246,201	277,214	13%	527,170	554,428	5%
Insurance finance income/(expenses) from insurance contracts issued	22,517	19,379	-14%	45,898	38,759	-16%
Profit before tax	43,064	45,686	6%	73,952	78,287	6%
Net profit	36,155	38,377	6%	62,451	63,541	2%
Attributable to equity shareholders	26,671	28,394	6%	46,207	47,014	2%

Source: PICC Group 1H25 interim report and FY25 annual report, J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	44,224
52-week range (HK\$)	7.63-4.63
Market cap (\$ mn)	31,185
Exchange rate	7.84
Free float (%)	93.7%
3M ADV (mn)	49.43
3M ADV (\$ mn)	33.0
Volatility (90 Day)	39
Index	HSI
BBG ANR (Buy Hold Sell)	12 4 0

Key Metrics (FYE Dec)

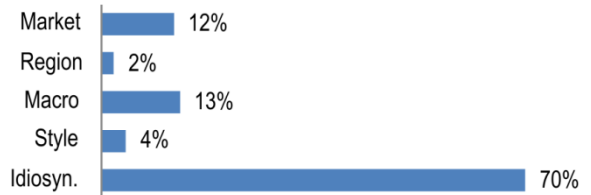
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	13,132	21,017	11,959	13,046
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	51,124	52,159	50,824	50,406
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	9,696	5,470	6,343	7,335
Pre Tax Operational Income	73,952	78,646	69,126	70,787
Adj. net income	46,207	47,014	41,545	42,438
Comprehensive Profit	46,207	47,014	41,545	42,438
Adj. EPS	1.04	1.06	0.94	0.96
Comprehensive EPS	1.04	1.06	0.94	0.96
DPS	0.22	0.24	0.24	0.27
BVPS	9.51	9.98	10.47	10.98
Comprehensive BVPS	9.51	9.98	10.47	10.98
Margins and Growth				
Adj. EPS growth	9.6%	1.7%	(11.6%)	2.2%
Comprehensive EPS growth	9.6%	1.7%	(11.6%)	2.2%
DPS growth	22.2%	11.1%	(0.1%)	10.0%
Ratios				
Primary P&C combined ratio (%)	-	-	-	-
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	-	-	-	-
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	-	-	-	-
ROE	16.0%	14.8%	12.5%	12.2%
Comprehensive ROE	16.0%	14.8%	12.5%	12.2%
Debt leverage ratio	-	-	-	-
Valuation				
Dividend yield	4.6%	5.1%	5.1%	5.6%
P/ BV	0.5	0.5	0.5	0.4
Comprehensive P/BV	0.5	0.5	0.5	0.4

Summary Investment Thesis and Valuation

We believe the company's non-life operations, PICC P&C, which contributed ~80% of earnings, appears to be peaking. With multi-year improvements in operational metrics, we believe that further improvement in underwriting would be limited. With a marginal deterioration outlook on PICC P&C, we are Neutral on PICC Group's outlook. On a different note, we think that the life and health business segment is likely to see more growth and larger earnings contribution to the group. We expect to see gradual value addition from the turnaround in the Life segment, as this remains the group's strategic focus.

Our Dec-27 PT of HK\$6.0 implies 7x FY27E group EPS (historical average/minimum: 8x/3x). Our SOTP-based PT is derived via a 7x FY27E P/E for PICC P&C and 3x/1.5x for PICC Life/Health.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.42	0.33
Region: China	-0.10	0.15
Macro:		
JPM China A-shares Sentiment	0.15	0.27
JPM Global Equity Sentiment	-0.12	-0.25
HSI Volatility Index	0.05	0.19
Quant Styles:		
Growth	-0.17	-0.26
DivYld	0.29	0.26
Value	0.13	0.21

Investment Thesis, Valuation and Risks

PICC Group - H (Neutral; Price Target: HK\$6.00)

Investment Thesis

We believe the company's non-life operations, PICC P&C, which contributed ~80% of earnings, appears to be peaking. With multi-year improvements in operational metrics, we believe that further improvement in underwriting would be limited. With a marginal deterioration outlook on PICC P&C, we are Neutral on PICC Group's outlook. On a different note, we think that the life and health business segment is likely to see more growth and larger earnings contribution to the group. We expect to see gradual value addition from the turnaround in the Life segment, as this remains the group's strategic focus.

Valuation

Our Dec-27 PT of HK\$6.0 implies 7x FY27E group EPS (historical average/minimum: 8x/3x). Our SOTP-based PT is derived via a 7x FY27E P/E for PICC P&C and 3x/1.5x for PICC Life/Health.

SOTP valuation

	Stake owned	HK\$	Methodology
PICC P&C	69.0%	5.1	Assigned a 7x P/E
PICC Life	80.0%	0.6	Assigned a 3x P/E
PICC Health	95.5%	0.3	Assigned a 1.5x P/E
Non-standard-asset discount (0%)			
Share price equivalent (Dec-27E)		6.0	Sum-of-the-parts
Dec-27 PT		6.0	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) faster-than-expected product mix improvement, with higher volume control in single-savings policy sales; 2) higher-than-expected PICC P&C earnings growth due to slower-than-expected deterioration in the Non-Life underwriting cycle; and 3) better-than-expected life business sales recovery.

Downside risks include: 1) slower-than-expected product mix improvement, with lower volume control in single-savings policy sales; 2) weaker-than-expected PICC P&C earnings growth due to a faster-than-expected deterioration in the Non-Life underwriting cycle; and 3) a slower-than-expected life business sales recovery.

PICC Group - H: Summary of Financials

INCOME STATEMENT					BALANCE SHEET				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	59,874	38,685	39,845	41,040
Life operating profit	13,132	21,017	11,959	13,046	Investments	1,901,634	1,922,616	1,980,295	2,039,703
Life reinsurance operating profit	-	-	-	-	Investment property	-	-	-	-
P&C operating profit	51,124	52,159	50,824	50,406	Goodwill	-	-	-	-
P&C reinsurance operating profit	-	-	-	-	Other intangibles	-	-	-	-
Other pre-tax profit	9,696	5,470	6,343	7,335	Other assets	66,084	127,119	130,933	134,861
					Total Assets	2,027,592	2,088,420	2,151,072	2,215,605
Consolidated P&L					Insurance liabilities	1,239,519	1,276,705	1,315,006	1,354,456
Insurance revenue	-	-	-	-	o/w CSM	128,988	138,199	150,660	164,415
Insurance service result	43,547	43,121	42,420	44,696	o/w Risk adjustment	-	-	-	-
Insurance net financial result	-	-	-	-	o/w PVCF	-	-	-	-
Interest expense	-	-	-	-	Investment contract liabilities	6,879	6,955	7,164	7,378
Other income and expenses	-	-	-	-	Senior debt	-	-	-	-
Total pre-tax profit	73,952	78,646	69,126	70,787	Subordinated debt	-	-	-	-
Income taxes	(11,501)	(14,746)	(12,618)	(13,071)	Other liabilities	360,582	363,052	365,547	368,067
Minority interest	(16,244)	(16,528)	(14,605)	(14,919)	Total Liabilities	1,607,126	1,646,862	1,687,872	1,730,061
Net income	46,207	47,014	41,545	42,438	Shareholders' equity	309,183	324,692	340,607	357,036
Pre Tax Operational Income	73,952	78,646	69,126	70,787	Preferred equity / hybrid capital	-	-	-	-
Adjusted Net income	46,207	47,014	41,545	42,438	Minority Interests	111,283	116,865	122,593	128,507
Comprehensive profit	46,207	47,014	41,545	42,438	Total Liabilities and Shareholder Equity	2,027,592	2,088,420	2,151,072	2,215,605
Adj. EPS	1.04	1.06	0.94	0.96	Comprehensive equity	309,183	324,692	340,607	357,036
Comprehensive EPS	1.04	1.06	0.94	0.96	Net CSM	-	-	-	-
DPS	0.22	0.24	0.24	0.27					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	9.51	9.98	10.47	10.98
Adj. EPS y/y Growth	9.6%	1.7%	(11.6%)	2.2%	Comprehensive BVPS	9.51	9.98	10.47	10.98
Comprehensive EPS y/y growth	9.6%	1.7%	(11.6%)	2.2%	ROE	16.0%	14.8%	12.5%	12.2%
DPS y/y Growth	22.2%	11.1%	(0.1%)	10.0%	Comprehensive ROE	16.0%	14.8%	12.5%	12.2%
Adj. P/E (x)	4.6	4.5	5.1	5.0	P/BV	0.5	0.5	0.5	0.4
Comprehensive P/E (x)	4.6	4.5	5.1	5.0	Comprehensive P/BV	0.5	0.5	0.5	0.4
Dividend Yield	4.6%	5.1%	5.1%	5.6%	Debt leverage ratio	-	-	-	-
P&C combined ratio	-	-	-	-					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	-	-	-	-					
Life new business CSM margin	-	-	-	-					
CSM release ratio	-	-	-	-					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Neutral

601319.SS, 601319.CH

Price (30 Jul 26): Rmb7.56

▲ **Price Target (Dec-27): Rmb7.10**
Prior (Dec-26): Rmb6.90

China

Insurance

MW Kim ^{AC}

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

PICC Group - A

PT lifted on PICC P&C upgrade, Neutral retained

Extending our PT timeframe from Dec-26 to Dec-27, we marginally lift our PICC Group-A PT to Rmb7.10 from Rmb6.90. This primarily reflects the Dec-27 PT increase for PICC P&C, which represents 86% of PICC Group's SOTP valuation. PICC Group currently owns 69% of PICC P&C.

Reflecting more resilient non-life underwriting profitability in 1H26E, supported by milder catastrophic loss development, while also factoring in a softer forward earnings profile, we revise our PICC Group consolidated model. As a result, we raise our FY26E, FY27E and FY28E net profit forecasts by 28%, 5% and 6% to Rmb47B, Rmb42B and Rmb42B, respectively.

For IFRS 17/9-based financials, please refer to the H-share numbers.

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	22	26	35	41	32
Growth	80	74	84	80	87
Momentum	66	30	27	15	59
Quality	50	54	53	53	74
Low Vol	29	32	21	11	8
ESGQ	1	7	1	16	9

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Price Performance



— 601319.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-15.5%	11.8%	5.3%	-11.8%
Rel	-11.4%	18.9%	12.8%	-17.0%

Company Data

Shares O/S (mn)	44,224
52-week range (Rmb)	10.18-6.48
Market cap (\$ mn)	49,404
Exchange rate	6.77
Free float (%)	8.0%
3M ADV (mn)	87.10
3M ADV (\$ mn)	91.4
Volatility (90 Day)	36
Index	SHASHR
BBG ANR (Buy Hold Sell)	12 4 3

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	(5,391)	(9,607)	(14,641)	(19,173)
Operating profit - Non life	35,894	38,133	40,495	42,993
Operating profit - Others	8,335	11,252	20,577	25,075
Operating income	38,838	39,778	46,432	48,895
Adj. PBT	45,611	46,882	53,889	56,728
Adj. net income	27,256	28,157	34,006	36,164
Adj. EPS	0.62	0.64	0.77	0.82
BBG EPS	1.19	1.06	1.19	1.27
DPS	0.15	0.16	0.19	0.20
Investments	1,634,686	1,948,413	2,304,819	2,706,066
Sh. equity (ex min, ex AOCI)	277,574	298,693	324,197	351,320
Investment as % of Sh. equity	588.9%	652.3%	710.9%	770.3%
BVPS	6.28	6.75	7.33	7.94
Margins and Growth				
Adj. EPS growth	8.6%	3.3%	20.8%	6.3%
Ratios				
Adj. tax rate	19.3%	19.6%	19.5%	19.8%
Dividend payout	25.0%	25.0%	25.0%	25.0%
Combined ratio	103.6%	104.0%	104.4%	104.6%
Regulatory solvency ratio	201.3%	219.5%	227.6%	233.3%
Leverage (Debt/Debt+Equity)	11.6%	11.3%	11.0%	10.7%
ROE	10.2%	9.8%	10.9%	10.7%
Valuation				
Dividend yield	2.0%	2.1%	2.5%	2.7%
Adj. P/E	12.3	11.9	9.8	9.2
P/BV	1.2	1.1	1.0	1.0

Summary Investment Thesis and Valuation

We believe the company's non-life operations, PICC P&C, which contributed ~80% of earnings, appears to be peaking. With multi-year improvements on the operational metrics, we believe that further improvement on the underwriting would be limited. With a marginal deterioration outlook on PICC P&C, we are Neutral on PICC Group's outlook. On a different note, we think that the life and health business segment is likely to see more growth and larger earnings contribution to the group. We expect to see gradual value addition from the turnaround in the Life segment, as this remains the group's strategic focus.

Our Dec-27 PT of Rmb7.1 is SOTP valuation derived via 7x FY27E P/E for PICC P&C and 3x/1.5x for PICC Life/PICC Health. We then combine them with a historical A-H premium of 130% to arrive at our price target.

Performance Drivers

Market	3%
Region	0%
Macro	10%
Style	3%
Idiosyn.	83%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.28	0.18
Region: China	0.06	0.04
Macro:		
JPM China A-shares Sentiment	0.08	0.20
JPM Forecast Revision EM	0.19	0.16
JP Morgan GBI-EM Global Div	0.12	0.15
Quant Styles:		
Growth	-0.10	-0.18
DivYld	0.05	0.15
LowVol	0.02	0.13

Investment Thesis, Valuation and Risks

PICC Group - A (Neutral; Price Target: Rmb7.10)

Investment Thesis

We believe the company's non-life operations, PICC P&C, which contributed ~80% of earnings, appears to be peaking. With multi-year improvements on the operational metrics, we believe that further improvement on the underwriting would be limited. With a marginal deterioration outlook on PICC P&C, we are Neutral on PICC Group's outlook. On a different note, we think that the life and health business segment is likely to see more growth and larger earnings contribution to the group. We expect to see gradual value addition from the turnaround in the Life segment, as this remains the group's strategic focus.

Valuation

Our Dec-27 PT of Rmb7.1 is SOTP valuation derived via 7x FY27E P/E for PICC P&C and 3x/1.5x for PICC Life/PICC Health. We then combine them with a historical A-H premium of 130% to arrive at our price target.

SOTP valuation

	Stake owned	Rmb	Methodology
PICC P&C	69.0%	4.7	P/E valuation methodology for PICC P&C with P/E of 7x
PICC Life	80.0%	0.5	P/E valuation methodology for PICC Life with P/E of 3x
PICC Health	95.5%	0.2	P/E valuation methodology for PICC Health with P/E of 1.5x
Share price equivalent (Dec-27E)		5.4	Sum-of-the-parts
Historical A-H premium		130%	
Dec-27 Price Target		7.1	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) faster-than-expected product mix improvement, with higher volume control in single-savings policy sales; 2) higher-than-expected PICC P&C earnings growth due to slower-than-expected deterioration in the Non-Life underwriting cycle; and 3) better-than-expected life business sales recovery.

Downside risks include: 1) slower-than-expected product mix improvement, with lower volume control in single-savings policy sales; 2) weaker-than-expected PICC P&C earnings growth due to a faster-than-expected deterioration in the Non-Life underwriting cycle; and 3) a slower-than-expected life business sales recovery.

PICC Group - A: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Life									
Premiums - Life	182,237	218,587	261,127	300,382	Return on equity (ROE)	10.2%	9.8%	10.9%	10.7%
Fee income	-	-	-	-	Return on equity (ex. AOCI)	10.2%	9.8%	10.9%	10.7%
Net investment income	19,690	20,478	21,297	22,149	ROA	1.2%	1.0%	1.1%	1.0%
Other income	943	1,131	1,351	1,554	BVPS	6.28	6.75	7.33	7.94
Total revenues - life	202,870	240,196	283,776	324,084	BVPS (ex. AOCI)	6.28	6.75	7.33	7.94
Benefits & losses	(171,217)	(205,369)	(245,325)	(282,080)	Dividend payout ratio	25.0%	25.0%	25.0%	25.0%
Interest credited	-	-	-	-	Claim loss ratio	79.6%	80.0%	80.4%	80.6%
Amortization of acquisition costs (net)	-	-	-	-	Expense ratio	24.0%	24.0%	24.0%	24.0%
G&A Expense	(35,036)	(42,025)	(50,201)	(57,722)	Combined ratio	103.6%	104.0%	104.4%	104.6%
Total expenses	(208,262)	(249,803)	(298,416)	(343,257)	Adj. PBT growth	7.9%	2.8%	14.9%	5.3%
Life Operating Income	(5,391)	(9,607)	(14,641)	(19,173)	EPS y/y Growth	8.6%	3.3%	20.8%	6.3%
Non-Life					BVPS (ex. AOCI) growth	7.9%	7.6%	8.5%	8.4%
Gross written premium	622,771	683,166	751,064	827,601	Tax rate	19.3%	19.6%	19.5%	19.8%
Net written premium	523,445	571,394	624,970	684,996	Adj. P/E (x)	12.3	11.9	9.8	9.2
Unearned Premium	(20,892)	(22,927)	(25,212)	(27,781)	P/BV (x)	1.2	1.1	1.0	1.0
Net Earned Premium	502,553	548,467	599,759	657,215	Dividend Yield	2.0%	2.1%	2.5%	2.7%
Net Claims Incurred	(371,824)	(406,310)	(444,888)	(488,158)	Balance Sheet and Capital Data	FY25A	FY26E	FY27E	FY28E
Underwriting expenses	(120,613)	(131,632)	(143,942)	(157,732)	Cash & Cash Equivalents	222,912	265,693	314,294	369,009
o/w Acquisition expenses	-	-	-	-	Investments	1,634,686	1,948,413	2,304,819	2,706,066
o/w G&A Expense	-	-	-	-	o/w Equity investments	408,672	487,103	576,205	676,516
					o/w Fixed income investments	891,647	1,062,771	1,257,174	1,476,036
Underwriting income non life	10,117	10,525	10,929	11,325	Total investments & Cash	1,857,598	2,214,105	2,619,113	3,075,075
Net Investment income	25,777	27,608	29,566	31,668	Net Intangibles	-	-	-	-
Non-Life Operating Income	35,894	38,133	40,495	42,993	Other long term assets	2,281,002	2,652,042	3,074,181	3,547,979
Others					Total Assets	2,503,914	2,917,735	3,388,475	3,916,988
Operating profit - Others	8,335	11,252	20,577	25,075	LT policyholder liabilities	1,688,725	2,012,823	2,381,012	2,795,523
Total (Life, Non-Life and Others)					Reinsurance Premium Payable	-	-	-	-
Net Interest	(6,939)	(6,937)	(6,935)	(6,932)	Debt	50,190	52,699	55,334	58,101
Adj. PBT	45,611	46,882	53,889	56,728	Other liabilities	381,667	438,251	503,289	578,047
Income taxes	(8,801)	(9,212)	(10,509)	(11,210)	Total Liabilities	2,120,582	2,503,773	2,939,635	3,431,671
Adj. Net Income	27,256	28,157	34,006	36,164	Shareholders' equity	277,574	298,693	324,197	351,320
Shares outstanding	44,224	44,224	44,224	44,224	Shareholders' equity (ex. AOCI)	277,574	298,693	324,197	351,320
Adj. EPS	0.62	0.64	0.77	0.82					
Reported EPS	0.62	0.64	0.77	0.82					
DPS Reported	0.15	0.16	0.19	0.20					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

Neutral

2328.HK, 2328 HK

Price (30 Jul 26): HK\$16.80

▲ **Price Target (Dec-27): HK\$15.00**
Prior (Dec-26): HK\$14.00

China

Insurance

MW Kim AC

(852) 2800-8517

mw.kim@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	15	18	20	14	7
Growth	75	58	72	74	86
Momentum	47	26	16	22	31
Quality	36	45	42	41	57
Low Vol	31	35	34	23	23
ESGQ	2	9	1	28	10

Sources for: Style Exposure – J.P. Morgan Global Markets
Strategy; all other tables are company data and J.P. Morgan estimates.

PICC Property and Casualty (2328)

Resilient underwriting, but reinvestment risk caps upside

We expect PICC P&C to deliver resilient underwriting performance in 1H26E, supported by solid motor underwriting, improving non-motor margins and no material major claim loss development. However, we maintain Neutral, given rising reinvestment risk amid very low deposit rates and short-term bond yields.

On a full-year earnings basis, we raise our FY26E, FY27E and FY28E net profit forecasts by 21%, 7% and 9% to Rmb44B, Rmb43B and Rmb42B, respectively. We now forecast a combined ratio of 97.4%, 97.7% and 97.8% in FY26E, FY27E and FY28E, implying changes of -0.2%p, +0.3%p and +0.1%p oya, respectively.

Rolling forward our PT timeframe to Dec-27 from Dec-26, we marginally raise our PT to HK\$15 from HK\$14. However, as we continue to see limited upside, particularly from further underwriting improvement, we remain Neutral on the stock.

Table 20: PICC P&C: Revision table

Rmb in million, %

	2026E			2027E			2028E		
	New	Old	% Chg	New	Old	% Chg	New	Old	% Chg
Operating Income	568,998	563,348	1%	592,490	596,371	-1%	599,059	603,450	-1%
Insurance revenue	532,128	532,193	0%	558,734	558,803	0%	565,193	565,332	0%
Investment income	27,746	17,886	55%	19,946	17,393	15%	19,985	17,680	13%
Operating expenses	516,007	520,074	-1%	541,665	548,972	-1%	548,653	557,091	-2%
Insurance service expense	505,387	510,268	-1%	535,126	539,144	-1%	542,103	547,202	-1%
Finance expenses from insurance contracts issued	10,316	10,644	-3%	11,175	11,176	0%	11,304	11,307	0%
Less: Finance income from reinsurance contracts held	(1,268)	(1,290)	-2%	(1,354)	(1,354)	0%	(1,370)	(1,370)	0%
Operating Profit	52,159	43,274	21%	50,824	47,399	7%	50,406	46,359	9%
Profit before tax	52,159	43,274	21%	50,824	47,399	7%	50,406	46,359	9%
Less: income tax expense	(8,214)	(6,924)	19%	(8,132)	(7,584)	7%	(8,065)	(7,417)	9%
Net profit	43,945	36,350	21%	42,693	39,815	7%	42,341	38,941	9%
-attributable to owners of the company	43,938	36,344	21%	42,685	39,808	7%	42,334	38,934	9%

Source: J.P. Morgan estimates.

Table 21: PICC P&C: Semiannual earnings table

Rmb in million, %, %p

	1H25	1H26E	Y/Y	FY25	FY26E	Y/Y
Operating income	266,756	279,086	5%	550,926	568,998	3%
Insurance revenue	249,040	256,446	3%	511,594	532,128	4%
Investment income	7,901	20,027	153%	20,350	27,746	36%
Operating expenses	237,852	242,855	2%	503,225	516,007	3%
Insurance service expenses	227,806	235,119	3%	486,254	505,387	4%
Insurance finance income/(expenses) from insurance contracts issued	4,415	4,803	9%	8,762	10,316	18%
Profit before tax	28,904	35,399	22%	47,701	52,159	9%
Net profit	24,455	29,867	22%	40,377	43,945	9%
Attributable to equity shareholders	24,454	29,867	22%	40,370	43,938	9%
Combined ratio	94.8%	94.7%	-0.1%p	97.5%	97.4%	-0.2%p

Source: PICC P&C 1H25 interim report and FY25 annual report, J.P. Morgan estimates.

Price Performance



— 2328.HK Price (HK\$)— HSI (rebased)

	YTD	1m	3m	12m
Abs	2.7%	17.3%	19.9%	1.9%
Rel	1.8%	4.3%	19.6%	-0.8%

Company Data

Shares O/S (mn)	22,242
52-week range (HK\$)	19.81-13.65
Market cap (\$ mn)	47,647
Exchange rate	7.84
Free float (%)	100.0%
3M ADV (mn)	40.89
3M ADV (\$ mn)	77.5
Volatility (90 Day)	33
Index	HSI
BBG ANR (Buy Hold Sell)	28 3 0

Key Metrics (FYE Dec)

in	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Operating profit - Life	-	-	-	-
Life Reinsurance Operating Profit	-	-	-	-
P&C Insurance Operating Profit	32,885	45,973	38,486	37,949
P&C Reinsurance Operating Profit	-	-	-	-
Other pre-tax operating profit	14,816	7,018	12,338	12,457
Pre Tax Operational Income	47,701	52,991	50,824	50,406
Adj. net income	40,370	43,938	42,685	42,334
Comprehensive Profit	40,370	43,938	42,685	42,334
Adj. EPS	1.82	1.98	1.92	1.90
Comprehensive EPS	1.82	1.98	1.92	1.90
DPS	0.68	0.72	0.74	0.76
BVPS	12.98	12.05	12.66	13.25
Comprehensive BVPS	12.98	12.05	12.66	13.25
Margins and Growth				
Adj. EPS growth	25.5%	8.8%	(2.9%)	(0.8%)
Comprehensive EPS growth	25.5%	8.8%	(2.9%)	(0.8%)
DPS growth	25.9%	5.9%	2.8%	2.7%
Ratios				
Primary P&C combined ratio (%)	97.5%	97.4%	97.7%	97.8%
Reinsurance P&C combined ratio (%)	-	-	-	-
Life New Business CSM	-	-	-	-
Life New Business CSM Margin (%)	-	-	-	-
CSM Release Ratio (%)	-	-	-	-
ROE	14.7%	15.8%	15.5%	14.7%
Comprehensive ROE	14.7%	15.8%	15.5%	14.7%
Debt leverage ratio	-	-	-	-
Valuation				
Dividend yield	4.7%	5.0%	5.1%	5.2%
P/ BV	1.1	1.2	1.1	1.1
Comprehensive P/BV	1.1	1.2	1.1	1.1

Summary Investment Thesis and Valuation

We believe that the company's underwriting cycle is now peaking, with no further improvement in the combined ratio anticipated. Ongoing price competition in the auto line and normalization of non-auto claims trend would limit further upside ahead. Although we do believe the company offers scarcity value, with reduced risks related to solvency capital and dividends, the stock looks expensive over its historical average P/E of 8x. We have a Neutral rating on the shares.

We use a price to earnings (P/E) methodology for our valuation as the industry adopted IFRS17 accounting in 2023. We assign a 7x FY27E P/E (vs. historical average/minimum: 8x/4x) to arrive at our Dec-27 PT of HK\$15.

Performance Drivers

Market	15%
Region	6%
Macro	12%
Style	0%
Idiosyn.	65%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.58	0.38
Region: China	0.10	0.27
Macro:		
JPM Global Equity Sentiment	-0.36	-0.26
HSI Volatility Index	0.23	0.23
JPM China A-shares Sentiment	0.13	0.22
Quant Styles:		
Growth	-0.11	-0.15
Value	0.21	0.14
DivYld	0.21	0.12

Investment Thesis, Valuation and Risks

PICC Property and Casualty *(Neutral; Price Target: HK\$15.00)*

Investment Thesis

We believe that the company's underwriting cycle is now peaking, with no further improvement on the combined ratio anticipated. Ongoing price competition in the auto line and normalization of non-auto claims trend would limit further upside ahead. Although we do believe the company offers scarcity value, with reduced risks related to solvency capital and dividends, the stock looks expensive over its historical average P/E of 8x. We have a Neutral rating on the shares.

Valuation

We use a price to earnings (P/E) methodology for our valuation as the industry adopted IFRS17 accounting in 2023. We assign a 7x FY27E P/E (vs. historical average/minimum: 8x/4x) to arrive at our Dec-27 PT of HK\$15.

Valuation summary (HK\$)

	FY26E	FY27E	FY28E
EPS	2.18	2.12	2.10
Target P/E		7x	
Historical avg/min. P/E		8x/4x	
Value per share (Dec-27)		14.82	
Time factor		1.00	
Dec-27 price target		15.00	
Assumptions			
Risk free rate	2.4%		
Market beta	1.17		
Expected market return	10%		
Equity risk premium	8.8%		
Cost of equity	11.1%		

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) larger-than-expected deterioration in auto underwriting due to heightened competition; 2) slower-than-expected improvement in A-share equity markets; and 3) larger natural catastrophic loss claims impacting non-auto underwriting profitability.

Upside risks include: 1) better-than-expected claim ratio trend leading to further improvement in combined ratio management, 2) stronger-than-expected investment performance lifting concerns on reinvestment risk and a potential decline in the company's investment yield.

PICC Property and Casualty (2328): Summary of Financials

INCOME STATEMENT	FY25A	FY26E	FY27E	FY28E	BALANCE SHEET	FY25A	FY26E	FY27E	FY28E
Divisional profit					Cash & Cash Equivalents	23,273	17,027	17,878	17,500
Life operating profit	-	-	-	-	Investments	586,831	527,825	554,216	542,496
Life reinsurance operating profit	-	-	-	-	Investment property	6,934	6,931	7,278	7,124
P&C operating profit	32,885	45,973	38,486	37,949	Goodwill	-	-	-	-
P&C reinsurance operating profit	-	-	-	-	Other intangibles	-	-	-	-
Other pre-tax profit	14,816	7,018	12,338	12,457	Other assets	185,030	233,607	245,287	240,100
					Total Assets	860,498	851,331	893,897	874,994
Consolidated P&L					Insurance liabilities	433,255	454,918	477,664	452,648
Insurance revenue	511,594	532,128	558,734	565,193	o/w CSM	-	-	-	-
Insurance service result	25,340	26,741	23,608	23,090	o/w Risk adjustment	-	-	-	-
Insurance net financial result	32,283	30,546	19,946	19,985	o/w PVCF	-	-	-	-
Interest expense	(976)	(1,219)	(1,279)	(1,294)	Investment contract liabilities	1,725	2,178	2,287	2,167
Other income and expenses	(8,946)	(3,077)	8,549	8,625	Senior debt	-	-	-	-
Total pre-tax profit	47,701	52,159	50,824	50,406	Subordinated debt	-	-	-	-
Income taxes	(7,324)	(8,214)	(8,132)	(8,065)	Other liabilities	124,739	115,750	121,537	115,172
Minority interest	(7)	(8)	(7)	(7)	Total Liabilities	571,795	583,228	612,389	580,318
Net income	40,370	43,938	42,685	42,334	Shareholders' equity	288,703	268,103	281,508	294,676
Pre Tax Operational Income	47,701	52,991	50,824	50,406	Preferred equity / hybrid capital	-	-	-	-
Adjusted Net income	40,370	43,938	42,685	42,334	Minority Interests	-	-	-	-
Comprehensive profit	40,370	43,938	42,685	42,334	Total Liabilities and Shareholder Equity	860,498	851,331	893,897	874,994
Adj. EPS	1.82	1.98	1.92	1.90	Comprehensive equity	288,703	268,103	281,508	294,676
Comprehensive EPS	1.82	1.98	1.92	1.90	Net CSM	-	-	-	-
DPS	0.68	0.72	0.74	0.76					
Ratio Analysis					Ratio Analysis				
Insurance margin	-	-	-	-	BVPS	12.98	12.05	12.66	13.25
Adj. EPS y/y Growth	25.5%	8.8%	(2.9%)	(0.8%)	Comprehensive BVPS	12.98	12.05	12.66	13.25
Comprehensive EPS y/y growth	25.5%	8.8%	(2.9%)	(0.8%)	ROE	14.7%	15.8%	15.5%	14.7%
DPS y/y Growth	25.9%	5.9%	2.8%	2.7%	Comprehensive ROE	14.7%	15.8%	15.5%	14.7%
Adj. P/E (x)	8.0	7.3	7.6	7.6	P/BV	1.1	1.2	1.1	1.1
Comprehensive P/E (x)	8.0	7.3	7.6	7.6	Comprehensive P/BV	1.1	1.2	1.1	1.1
Dividend Yield	4.7%	5.0%	5.1%	5.2%	Debt leverage ratio	-	-	-	-
P&C combined ratio	97.5%	97.4%	97.7%	97.8%					
Reinsurance P&C combined ratio	-	-	-	-					
Life new business CSM	-	-	-	-					
Life new business CSM margin	-	-	-	-					
CSM release ratio	-	-	-	-					

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec

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